

Turning long-USD in a low-vol regime

Global FX Strategy

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All charts are sourced from J.P. Morgan unless otherwise specified.

GLOBAL FX MACRO STRATEGY

Overview

- Long-carry, long-energy exporters vs importers remains high conviction...
- ...with growth still resilient and inflation pressures keeping CBs cautious. Carry has anchored G10 post-invasion.
- We turned long-USD again in May on stronger signals out of the US and signs of entrenched EUR weakness...
- ...while USD still benefits from 1) carry/ToT, 2) a more balanced Fed, 3) firmer domestic data, and 4) renewed US equity strength. Conditions to be long USD now (low-grade US exceptionalism) differ from our tactical bullish-USD stance in March (hedge).
- We've pivoted to a bearish-EUR/USD forecast for the first time in a year. 2H'26 1.13-15 range (prior 1.20). Hold 3m EUR/USD put spread. Continue to use EUR as a funder (vs AUD).
- Various supports are blunting the impact of the energy shock – but are not evenly distributed globally. NorthAm most insulated; EUR vulnerable. Risks still asymmetric.
- Governments, politics impacting FX (JPY-MoF, GBP-leadership contest).
- DM: Long AUD, NOK, and now USD vs EUR, JPY, CHF, SEK, CAD
- New Trades:
 - Buy 3m EUR/USD 1.1650 / 1.14 put spread.
 - Take profit on short-CAD vs AUD & NOK.
 - Buy 3m USD/CAD 40d/20d call spread
- Existing Trades:
 - Short EUR/AUD
 - Short CAD/MXN
 - Long NOK/JPY, NOK/CHF
 - Hold 3m NOK/SEK 1.01/1.03 call spread

G10 Currency Summary

	Bullish Bias	Neutral	Bearish Bias
G10	USD. Near-term prospects have improved through firming inflation, ToT, resilient labor market data, the hawkish Fed pivot and a return to US equity outperformance. USD also benefits in a pro-carry environment in G10 given current yields and repricing of Fed expectations. Near-term risks from reopening of SoH, but downside should be limited. We turn long vs. EUR & CAD.	GBP. Tactically took profits on longs pre-election and now neutral as solid carry and positive data surprises meet political risk. Multi-month timeline of any leadership challenge would mean carry and data should reassert themselves and support GBP vs lower yielders in the meantime before the new leader and associated fiscal risks are known, but can provide tactical setbacks.	EUR. Bearish. EUR/USD forecasts now signal a bearish profile for the first time in a year. Medium term targets revised down to 1.13 – 1.15 from 1.20 given worsening fundamentals: significant downside growth momentum, deteriorating terms-of-trade, narrowing real yield differentials and relative equities underperformance vs. the US. Near term target unchanged on potential conflict resolution between the US and Iran, but view any knee-jerk strength as short-lived. We continue to view EUR as an attractive funder vs. other regions incl APAC and high yielders. Short EUR vs. AUD and USD.
	AUD. The expected FX recovery driven by commodity factors and rates repricing is now mature. Expecting gradual fade in 2H26 as policy spreads cap out. RBA tightening has weakened growth and housing, though carry remains supportive. Background supports from capital flows (FX hedging by super funds, and unhedged capital inflows) remain in place and should mean a higher floor for AUD than in recent years. Short EUR/AUD.	NZD. Activity data continue to recover, now complemented by housing, setting the stage for policy normalization/hiking cycle. Carry deficit continues to weigh on performance vs. AUD despite growth normalizing. Prolonged oil product supply disruption is a clear downside growth risk making NZD/USD shorts a carry efficient hedge for escalation.	SEK. Bearish bias on low carry exacerbated by downside inflation and growth surprises and equity momentum headwinds. SEK would tactically benefit from conflict resolution, but would require regional growth, fiscal focus and equity momentum to move back in its favour to reap the gains more medium-term. Short vs. NOK.
	NOK. Bullish bias; set to benefit from carry environment as G10 high yielder with solid growth and sticky inflation keeping the central bank hawkish. Conflict de-escalation would tactically weigh on NOK, but we would view this as a buying opportunity given still-high energy prices, carry environment, and domestic inflation dynamics meaning the central bank is unlikely to quickly reverse course. Long vs. CHF, SEK.		JPY. Bearish as the intervention does not change our medium term bearish view and the global monetary policy cycle is increasingly unfavorable for JPY. The policy mix under the Takaichi administration heightens the risk of elevated domestic inflation and further yen depreciation. Elevated oil prices amplify inflationary pressures and the likelihood of fiscal expansion, reinforcing our medium- to long-term bearish outlook for JPY. We forecast USD/JPY at 158 for 2Q and 164 for 4Q. Short yen vs. NOK.
			CAD. We retain a strategic bearish bias on CAD and prefer using it as a funder, but flip from short-USD proxies (short CAD vs AUD,NOK) to long USD/CAD in options. Optimism around a turn in the CA cycle looks premature after recent weaker labor data and still-soft underlying inflation. Against this backdrop, BoC market pricing continues to look aggressive in our view. With little USMCA progress thus far, we now see higher odds of annual reviews which are net CAD-negative. Stay short CAD vs. MXN and USD.
			CHF. Neutral given cross-currents from franc-supportive forces (BOP, reserve alternative demand, fiscal differentiation, PPP vs pro-carry environment with trend growth providing upward pull on EUR/CHF. SNB's higher-alert stance on intervention may dampen safe haven spikes but is unlikely to stand in the way of slow grind higher, but is supportive of use as carry funder: short vs. NOK.

Still monitoring inventories...

The race to low inventories continues...

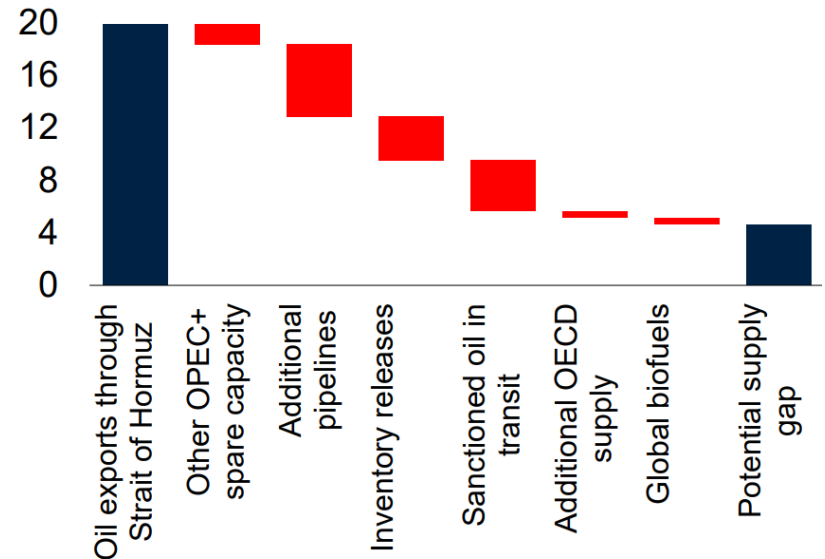
Global oil inventories



Source: J.P. Morgan

...despite offsets

Potential alternative sources for oil supplied via the Strait, mbd



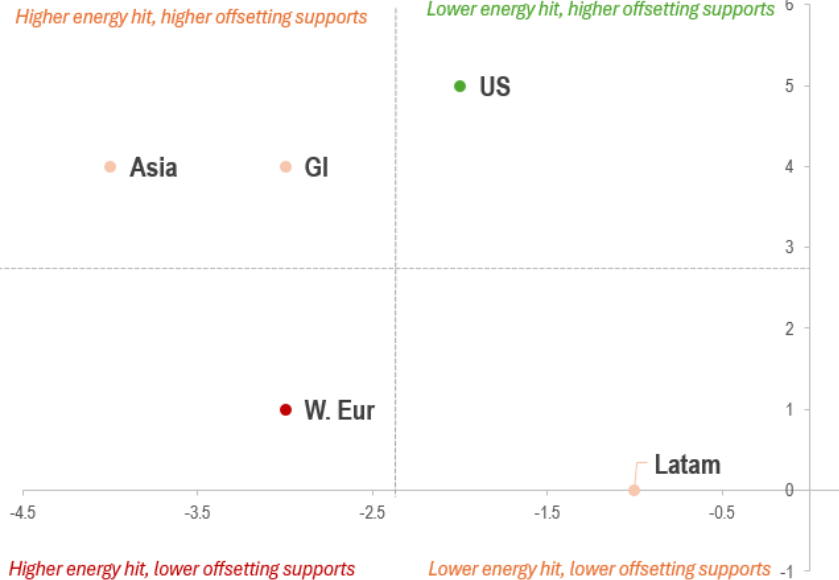
Source: World Bank

- The race to low inventories continues, despite offsets in alternative supply sources.
- Material offsets and supports in the global economy have buffered the worst of the energy price spike so far.
- Strait traffic, while still low, has shown some modest improvement, albeit well short of pre-war levels.
- JPM crude prices are above the forwards; avg Brent 2Q'26 \$103, 4Q'26 \$98

Energy exposure and offsets create strong regional divergence for FX, led by US resilience

North America has the best mix of direct energy impact and degree of offsets...

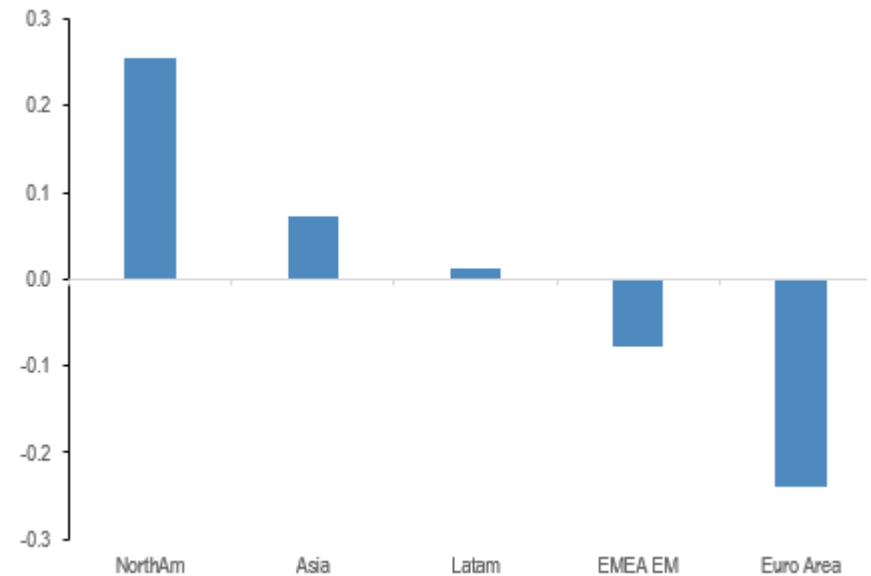
Sylistic ranking of energy impact and offsets



Source: J.P. Morgan

...which appears to be passing through to cyclicals on our screeners

Avg macro quant systematic TEAM score



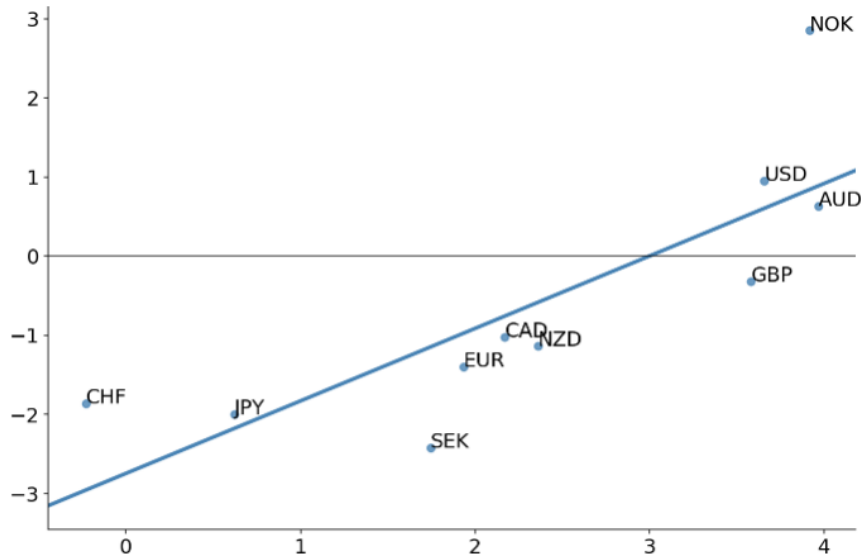
Source: J.P. Morgan

- Global offsets have been critical so far – bridging tech strength, fiscal support, financial conditions, sentiment, employment and monetary policy. We've downgraded global GDP just -0.3%, vs -0.8% without the perceived supports.
- North America has the best mix of direct energy impact (least) and degree of offsets (most). Western Europe is the most exposed. This is validated by cyclical macro quant criteria that we track for systematic FX trading.
- Resilient growth is partly attributable to supportive policies; fiscal has eased, CBs have remained patient.
- Business spending and hiring also supportive – reflecting fading of last year's sentiment slide from trade war, and global consumers smoothing income shocks.
- Ongoing resilience will require more lift from the business side, via hiring to offset purchasing power squeezes

Carry is king, but we're starting to see some wavering

Carry has anchored G10 performance through the conflict...

(X) Ex-ante carry, 3m % ar; (Y): FX/USD % change since end-Feb. USD is TWI



Source: J.P. Morgan

... but over the past month, the T.E.A.M macro score of high yielders has deteriorated

Y: implied yield on 1M CCY/USD forward VS. X: 1M change in our T.E.A.M macro score incorporating carry, growth, equity momentum, commodity ToT momentum, value and defensive implied volatility.



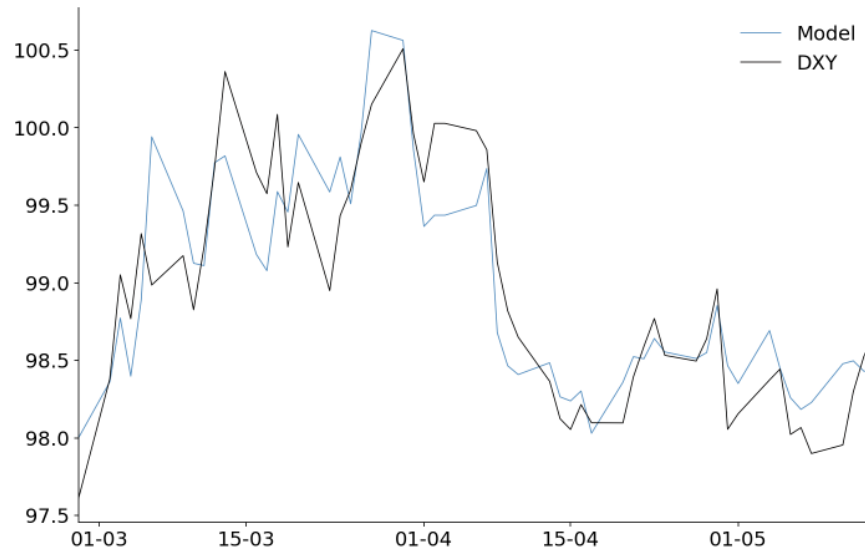
Source: J.P. Morgan

- Carry explains most of the returns for G10 FX since the start of the conflict, reflecting 1) only modestly lower growth, 2) higher inflation, and thus 3) cautious central banks protecting carry dispersion.
- But the quality of global carry has deteriorated somewhat. Our systematic macro scores (carry, growth, equity / commodity momentum, vol, valuations) has evolved in favor of low/mid-yielders.

USD did not underperform the oil move, after adjusting for market vol

USD has been held down by low vol / positive risk, despite oil prices still elevated

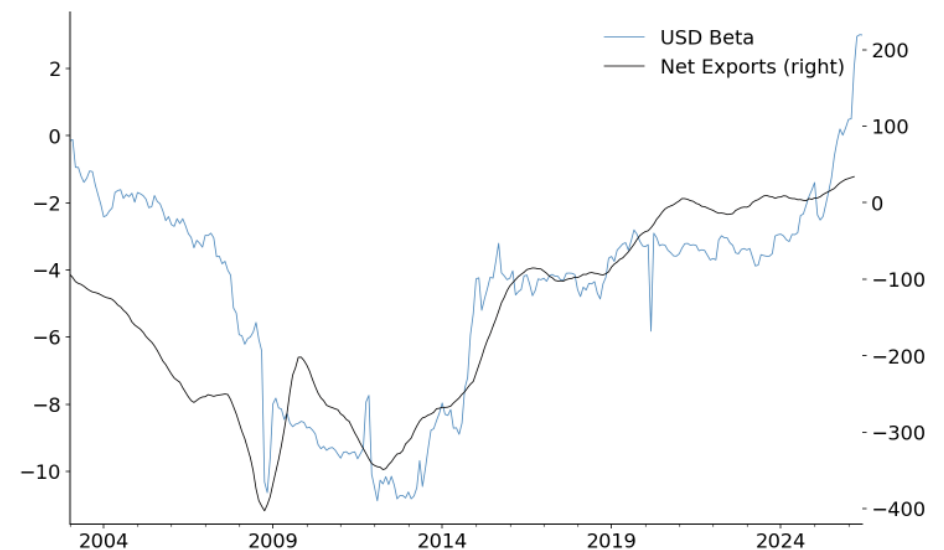
DXY modeled vs brent & VIX



Source: J.P. Morgan

USD's oil sensitivity has spiked as its energy BoP has evolved

LHS: Rolling 3y beta of USD TWI to oil (weekly changes); RHS US O&G net exports (USD bns)



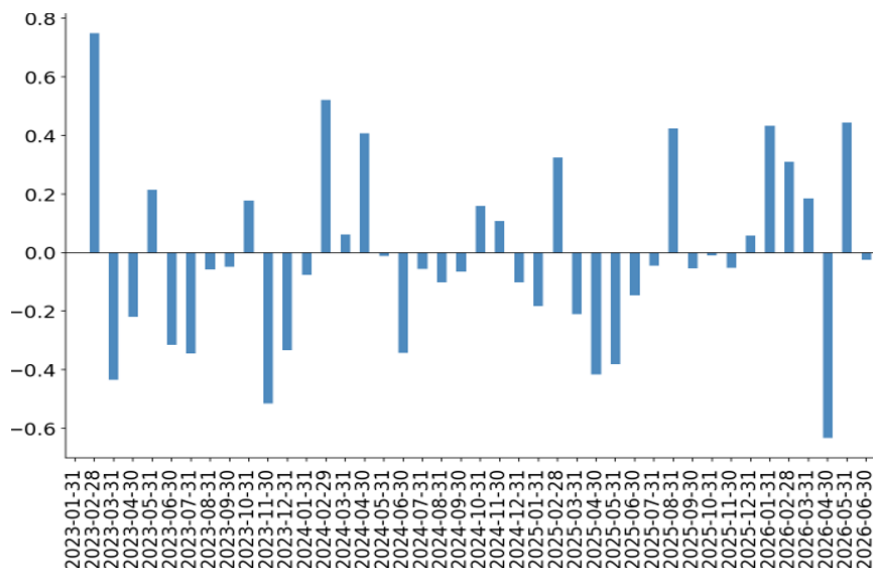
Source: J.P. Morgan

- USD has been held down by low vol / positive risk, despite oil prices still elevated; the dollar continues to oscillate with fluctuations in both oil and vol.
- USD's oil sensitivity has spiked as its energy BoP has evolved, with a positive beta to oil now fundamentally justified with US exports hitting record levels.

Inflation has surprised to the upside in pockets even as energy vol moderates

Energy prices may have moderated – but some upside inflation beats turned us long USD in early May

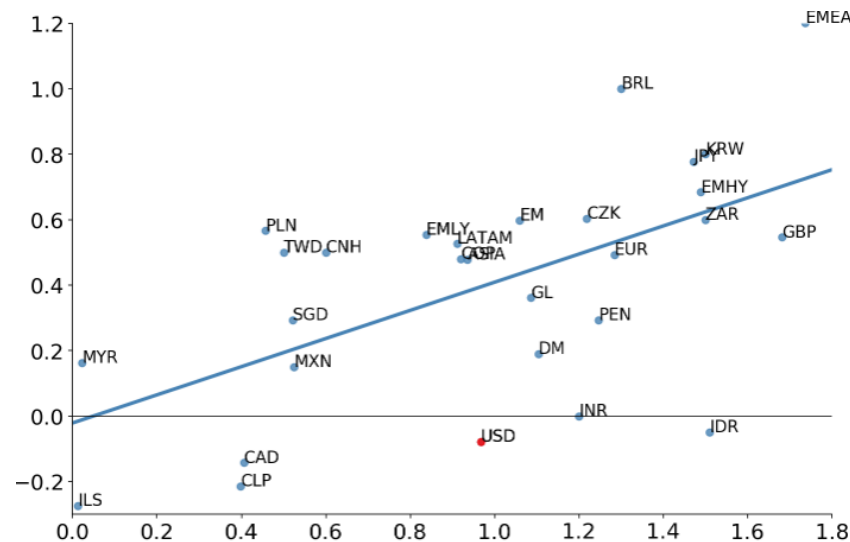
M/M change in Bloomberg US inflation data surprise index (z-score)



Source: J.P. Morgan

US headline pass-through to core is expected to be muted, but some data still suggest some upside risk

JPM inflation FRIs; (X): Headline; (Y): Core. Changes since end-Feb.

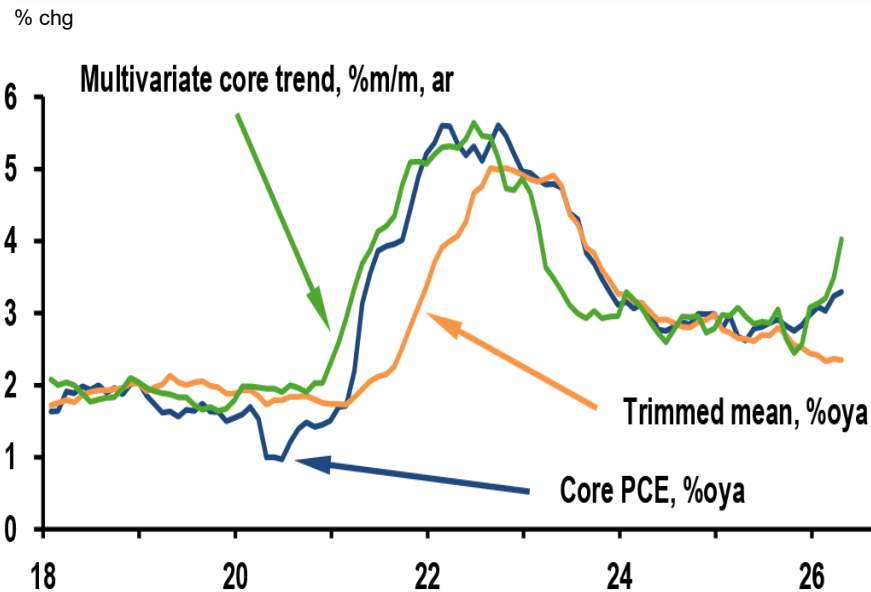


Source: J.P. Morgan

- Energy price vol has moderated, but some US inflation outcomes have beat consensus expectations and business survey inflation measures are rising.
- Upside inflation risks have intensified, from the possibility of a small amount of energy pass-through into core inflation, the ongoing surge in technology hardware costs, and widespread reports of supply chain challenges. Some household measures of inflation expectations have also firmed
- Thus, inflation surprises are starting to challenge expectations of limited pass-through to core, which for the US has unusually-soft presumed spillover effect into underlying.
- The spike in inflation beats in May compelled us into a more obvious long-USD stance.

With new Fed leadership, watching various measures of core inflation and breadth

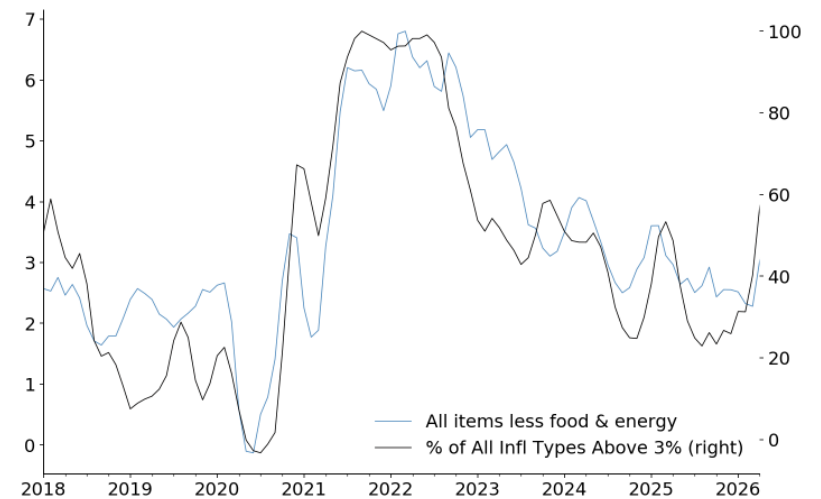
Trimmed mean inflation is relatively low, but other alt measures of core are not...



Source: J.P. Morgan Economics

...while some evidence points to core inflation breadth increasing

LHS: 6m ar of core CPI prices; RHS: % of sub-categories rising (6m)



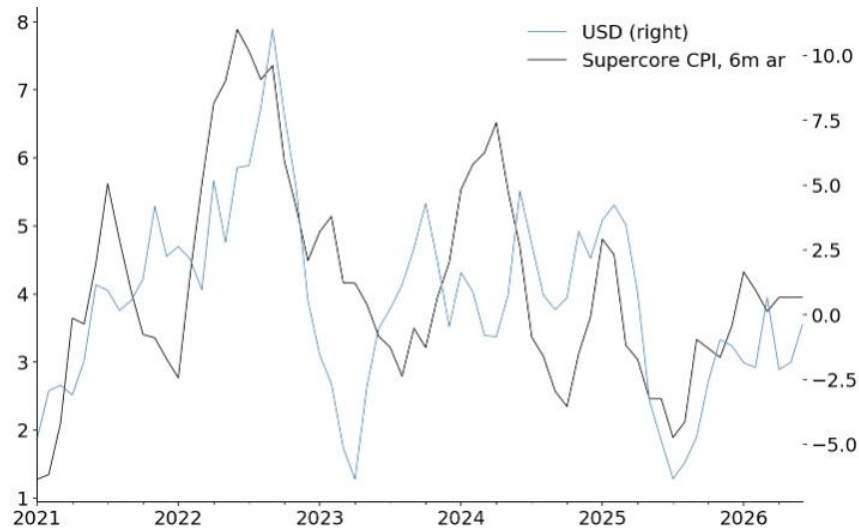
Source: J.P. Morgan, Haver

- PCE at 3.3% probably encourages an FOMC shift toward a neutral bias.
- Among alternative PCE measures, the trimmed mean PCE, which Fed Chair Warsh had mentioned in his confirmation hearing, did fall back to just 2.3%oya.
- On the more concerning side, the FRBNY's multivariate core trend inflation metric has surged over the last couple of months.
- As recently as early '24 the trimmed mean was running above the core.

Further inflation upside in the US is consistent with a stronger USD

USD has tracked the contours of supercore momentum, which has been firm recently

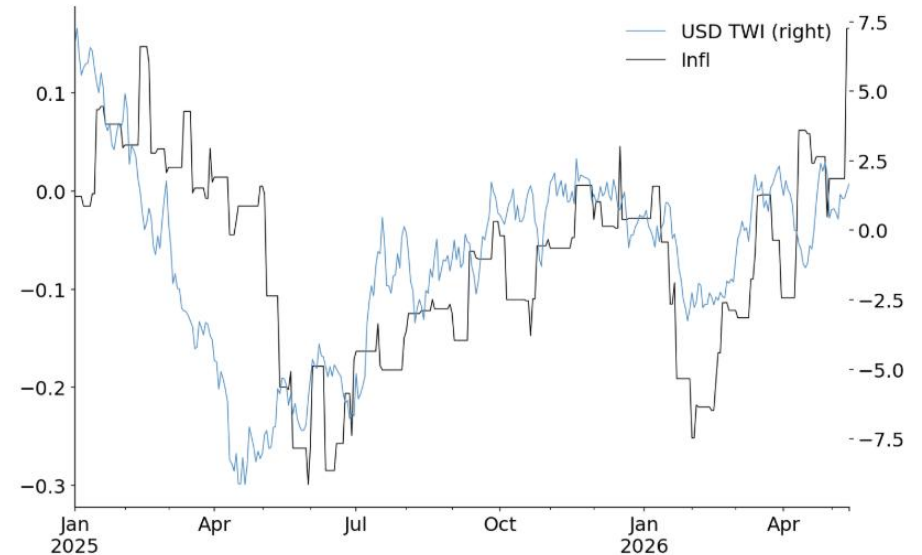
LHS: Supercore CPI, 6m %chg ar; RHS: USD 6m % chgs



Source: J.P. Morgan

...with USD also outperforming when US inflation momentum proxies outpace others

LHS: US vs G10 inflation proxy; RHS: USD TWI, 6m % chgs



Source: J.P. Morgan

Inflation Proxy: JPMaQS avg of 3m/6m/oya headline/core + 1y/2y/5y infl exp (%)

- USD has traded correlated with core measures like supercore...
- ... as well as relative US-G10 measures of inflation momentum which have jumped

A sustained USD bull trend will need more labor market strength

USD has tracked measures of US labor demand

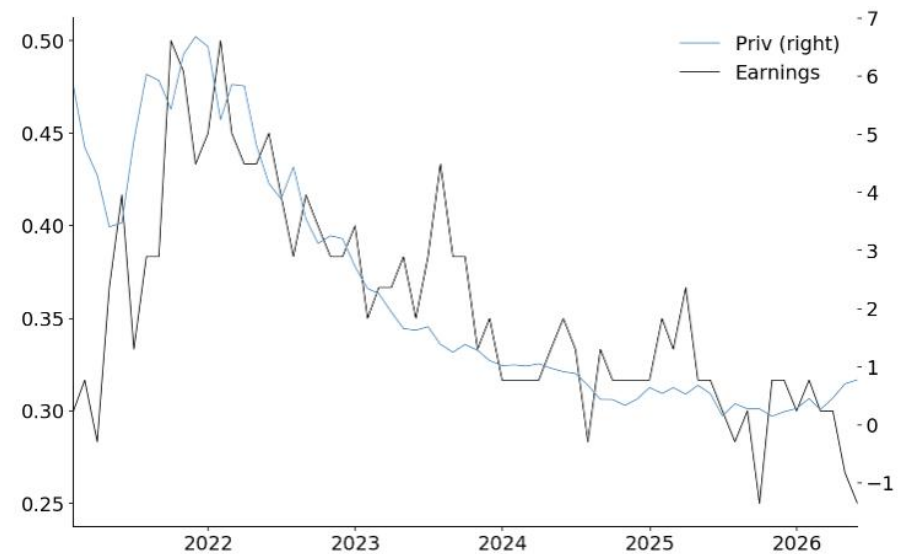
LHS: PC1 of alternative US private labor demand; RHS: USD TWI



Source: J.P. Morgan

USD would benefit from labor demand pulling earnings higher in a way that pushes inflation up

LHS: Avg hourly earnings (6m avg); RHS: Private payrolls growth, 6m % ar



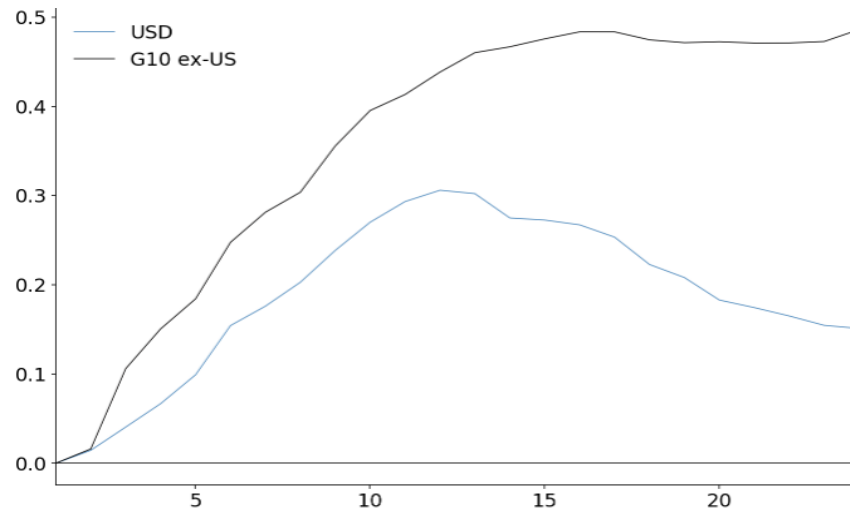
Source: J.P. Morgan

- USD has been well-correlated with proxies of US labor market momentum in recent years...
- ...meaning a more sustained uplift in business demand is quite important for USD...
- ...particularly as higher demand can pressure wages which can pressure core inflation such and engender Fed repricing to boost the dollar further

Risks appear to the upside for USD looking at valuations and relative rates...

CB expectations still have room to compress in USD's favor, albeit the gap has narrowed over the last few weeks

Cumulative priced hikes, 1m OIS (%)

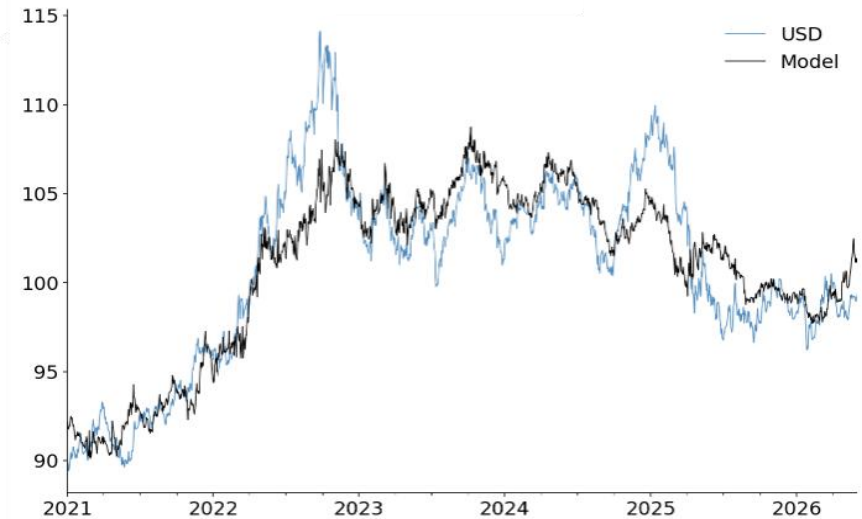


Source: J.P. Morgan

- CB expectations still have room to compress in USD's favor.
- The skew of risks from relative rates still looks to favor the USD tactically on inflation beats.
- The US money market curve has turned positive for the first time in four years.
- USD has undershot real rate spreads on multiple channels, suggesting some room for USD to catch up.

USD screens cheap on some real rate measures...

DXY vs model of US-G10 5y real yield differentials



Source: J.P. Morgan

...and on crosses

USD crosses vs model of US-G10 5y real yield differentials. USD is DXY

	Since 2021			Since 2025		
	Implied	Mispricing	R ²	Implied	Mispricing	R ²
DXY	101.2	-2.2%	0.81	101.2	-2.2%	0.48
EUR	1.118	4.2%	0.82	1.111	4.8%	0.48
AUD	0.697	2.7%	0.46	0.663	7.9%	0.47
CAD	1.415	2.7%	0.87	1.412	2.4%	0.45
GBP	1.318	1.9%	0.22	1.307	2.8%	0.46
JPY	140.85	-12%	0.87	153.85	-3.4%	0.12

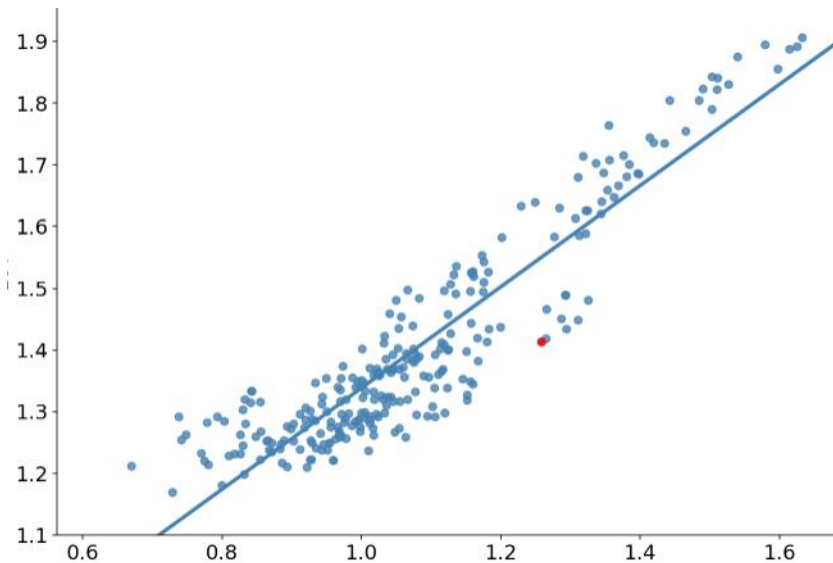
Source: J.P. Morgan

J.P.Morgan

...against a backdrop of solid relative cyclical and some underpriced rates

Treasuries appear rich relative to EGBs...

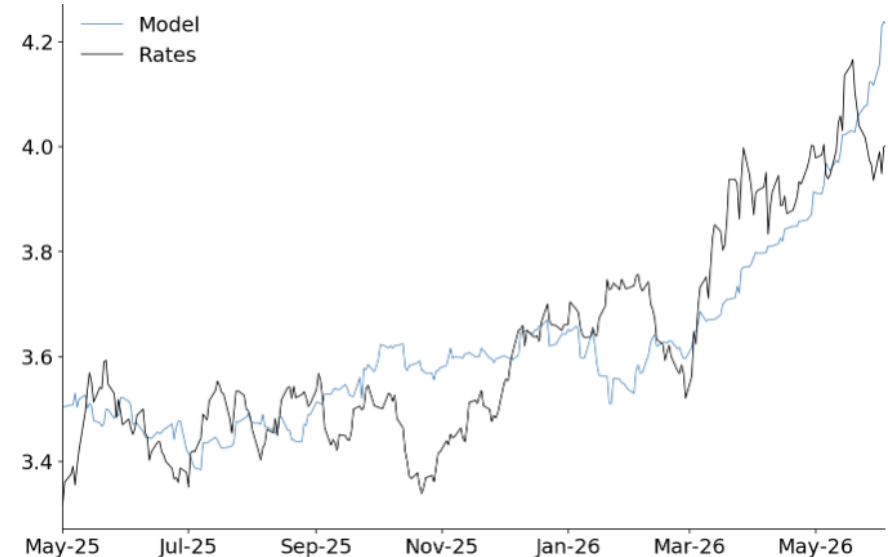
(X) 1y1y USD/EUR OIS spread (bp), regression over the last year
(Y) 10-year Treasury/German bund spread; bp



Source: J.P. Morgan

...while G10 complex yields generally are lower than central bank NLP scores

Avg of G10 majors 10Y yields vs avg Hawk-Dove NLP scores



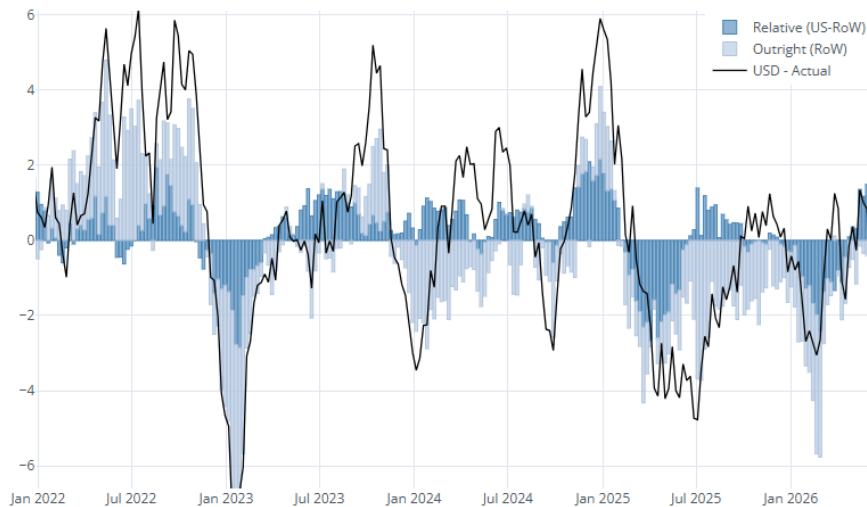
Source: J.P. Morgan

- US cyclical resilience is evident on select metrics since the war started
- And yet US yields are cheap vs European peers, and vs some UST FV estimates. Our global rates colleagues have added long 10Y bunds vs UST 10s
- With USD itself cheap to real rates, that suggests a couple channels of valuation support in the offing...
- ...especially with global yields potentially undershooting relative to central bank NLP scores

US equity outperformance has been a key incremental driver of USD strength

US equity outperformance is boosting USD

Contributions to USD TWI vs two factor equity models (outright global equities and relative US-GL equity differential). 3m % changes.



Source: J.P. Morgan

The skew of USD returns depends on both relative equity performance, and outright global equity performance

USD sensitivity to equity scenarios. Columns: Global outright equity returns; Index: US vs RoW returns. %

	-20	-15	-10	-5	0	5	10	15	20
-12.5	2.8%	1.7%	0.5%	-0.7%	-1.8%	-3.0%	-4.1%	-5.3%	-6.5%
-10.0	3.3%	2.1%	1.0%	-0.2%	-1.4%	-2.5%	-3.7%	-4.9%	-6.0%
-7.5	3.7%	2.6%	1.4%	0.2%	-0.9%	-2.1%	-3.3%	-4.4%	-5.6%
-5.0	4.2%	3.0%	1.8%	0.7%	-0.5%	-1.7%	-2.8%	-4.0%	-5.2%
-2.5	4.6%	3.4%	2.3%	1.1%	-0.1%	-1.2%	-2.4%	-3.6%	-4.7%
0.0	5.0%	3.9%	2.7%	1.5%	0.4%	-0.8%	-1.9%	-3.1%	-4.3%
2.5	5.5%	4.3%	3.2%	2.0%	0.8%	-0.3%	-1.5%	-2.7%	-3.8%
5.0	5.9%	4.8%	3.6%	2.4%	1.3%	0.1%	-1.1%	-2.2%	-3.4%
7.5	6.4%	5.2%	4.0%	2.9%	1.7%	0.5%	-0.6%	-1.8%	-3.0%
10.0	6.8%	5.6%	4.5%	3.3%	2.1%	1.0%	-0.2%	-1.4%	-2.5%
12.5	7.2%	6.1%	4.9%	3.7%	2.6%	1.4%	0.3%	-0.9%	-2.1%

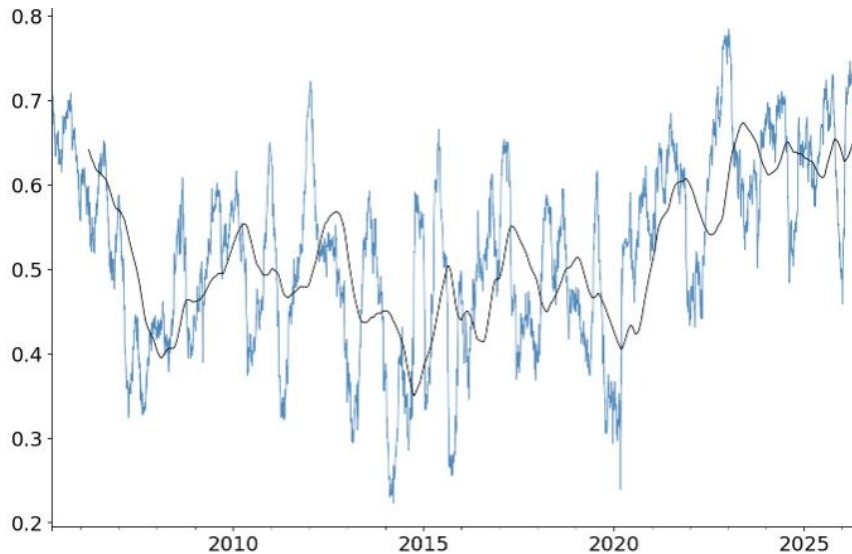
Source: J.P. Morgan

- US equity outperformance has been supporting USD. This is a drastic reversal from 4Q'25 and early 1Q'26 when US equity returns were flat vs surging RoW.
- That period was negative for USD via two channels – outright global equity strength (negative for USD via its anti-cyclical properties) and relative underperformance.
- This factor has important relevance for EUR/USD over the last year.
- 5% US outperformance and 5% global equity returns would mean USD about flat. 10% relative outperformance and -5% outright RoW returns would see USD +2.4%.

This remains a high dollar-corrs environment, but inflation outturns could challenge that

Dollar correlations remain elevated in a high-inflation energy shock environment, but this should be ebbing

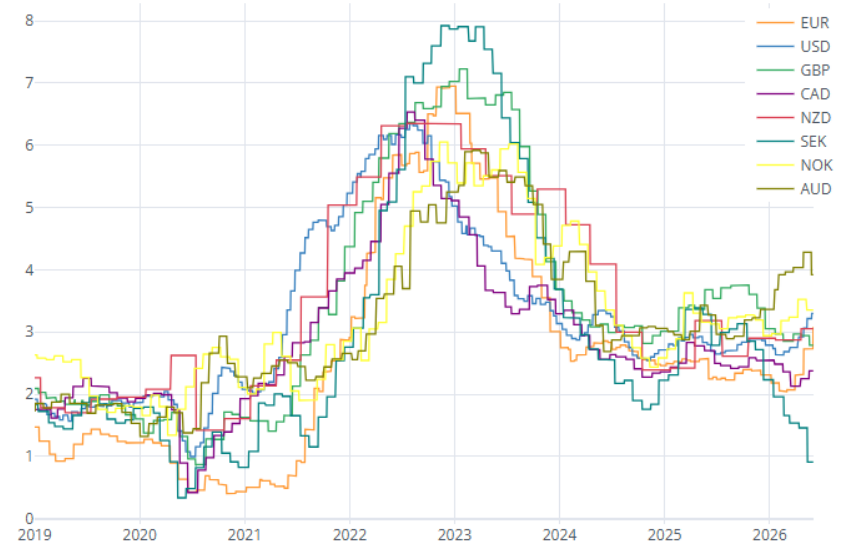
USD average pairwise correlations (3m rolling)



Source: J.P. Morgan

USD corrs could soften if more inflation divergences emerge

Proxy of inflation momentum. JPMaQS avg of 3m/6m/oya headline/core + 1y/2y/5y infl exp (%)



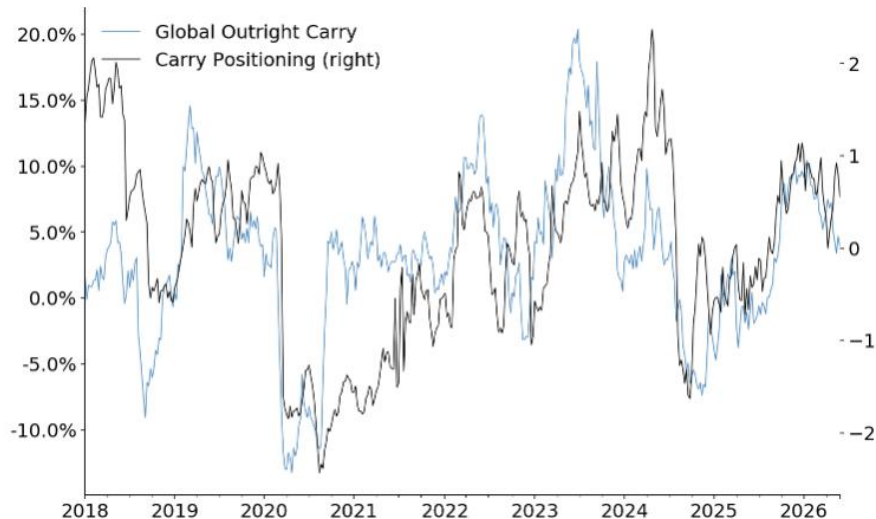
Source: J.P. Morgan

- Dollar correlations remain elevated in a high-inflation energy shock environment.
- More divergent inflation outcomes could deliver softer corrs, though.
- Lower yielders (CAD, SEK) have had softer inflation outturns, while higher-yielders like AUD and NOK have firmer inflation, entrenching the carry dynamic.

Carry positioning is increasing but not yet obviously stretched

Global carry positioning is picking back up...

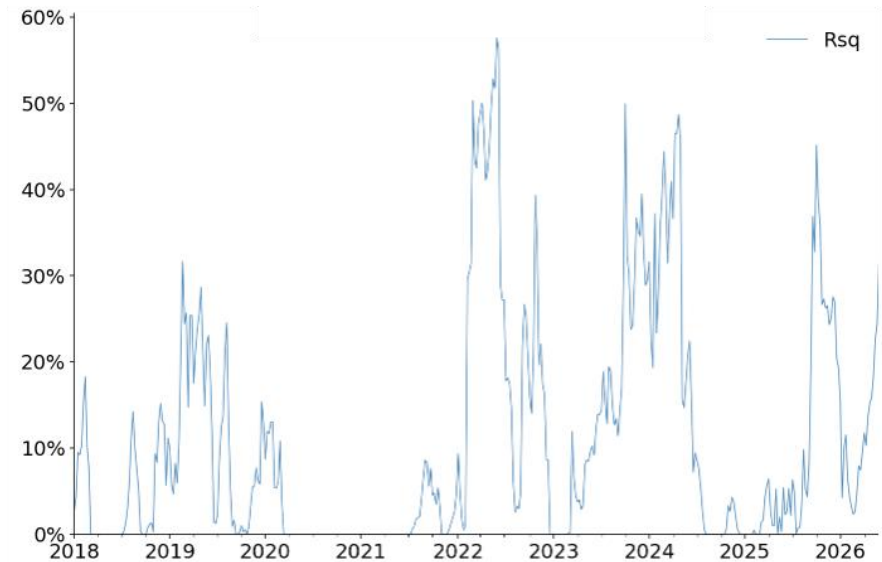
LHS: global outright carry returns (6m % chgs); RHS: Proxy for carry positioning (top 2 / bottom 2 by % yield, IMM futures data)



Source: J.P. Morgan, CFTC

...but has room to run

Rolling cross-sectional Rsq of weekly IMM futures positioning vs carry levels



Source: J.P. Morgan, CFTC

- Carry positioning proxies track changes in net carry returns. Those indicate rising positioning yet short of 2024 levels, which featured extreme JPY shorts.
- Still, concentration is rising.

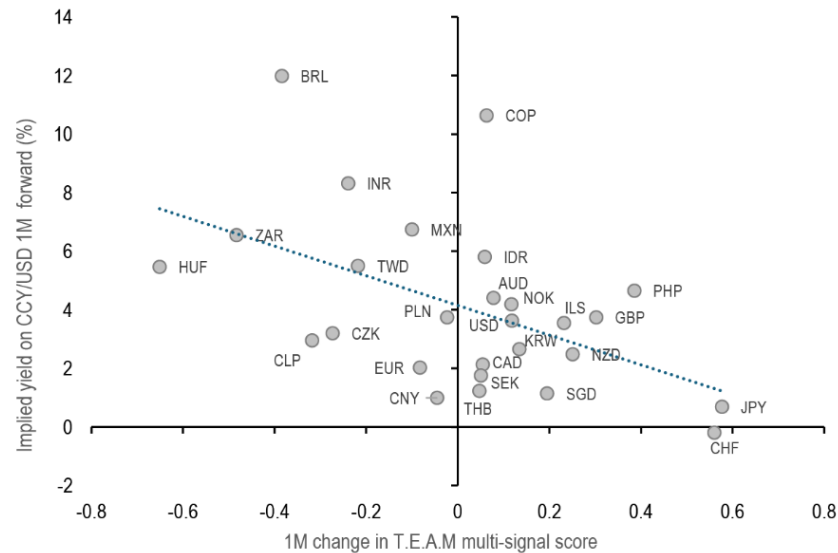
SYSTEMATIC

Systematic: The quality of global carry has deteriorated

Over the past month, the T.E.A.M macro score of high yielders has deteriorated

X: 1M change in our T.E.A.M macro score (incorporating carry, growth, equity momentum, commodity ToT momentum, value & defensive implied volatility)

Y: implied yield on 1M CCY/USD forward

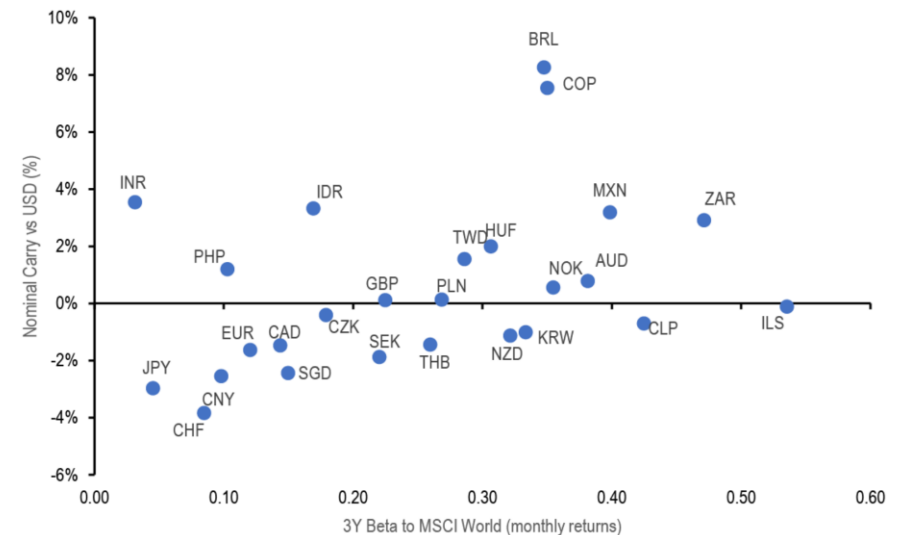


Source: J.P. Morgan

Global FX carry remains correlated with equities

X: Long-term CCY/USD beta to equities (3Y beta of monthly returns to MSCI World)

Y: CCY carry vs. USD based on 1M forward (%; annualised number).



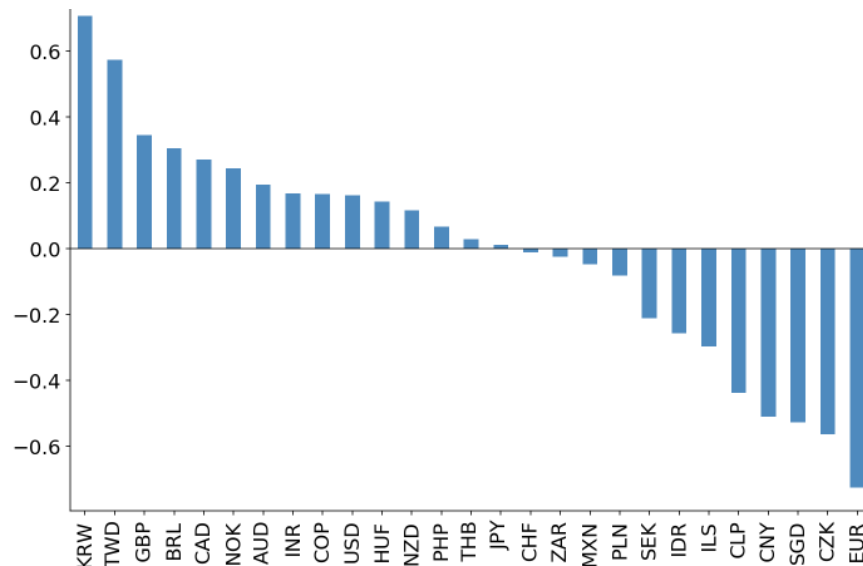
Source: J.P. Morgan

- Global and EM carry baskets have recovered from the mid-May correction, with real carry leading the way YTD.
- However, we are turning somewhat more cautious on global carry now. Our currency T.E.A.M macro score (incorporating carry, growth, equity & commodity momentum, volatility, and valuations) has evolved in favor of low/mid vs. high yielders.
- Global FX carry remains correlated with equities, suggesting FX carry outperformance can continue so long as the equity/AI trade does not collapse

Systematic: EUR stands out

Our fast T.E.A.M portfolio is currently biased by dispersion in commodity ToT and relative equity performance

Composite macro quant systematic score (3wk avg)



Source: J.P. Morgan

The performance of our key market themes over the past three months has been concentrated in a few currencies, especially NOK

G10 currencies ranking on 5 of our single signal metrics: commodity ToT momentum; risk-adjusted carry; composite fiscal score; composite growth momentum (EASI+FRI) and current account balances. All the top/bottom 2 baskets based on these metrics have returned between +3% and +6% YTD.

top:	1	2	3	4	5	6	7	8	9	10
Commodity ToT mom	CAD	USD	NOK	AUD	CHF	GBP	NZD	EUR	JPY	SEK
Risk-adjusted carry	AUD	NOK	GBP	USD	NZD	SEK	EUR	CAD	JPY	CHF
Fiscal score	NOK	CHF	SEK	AUD	CAD	NZD	EUR	GBP	JPY	USD
Composite Growth mom	NOK	GBP	CAD	JPY	CHF	AUD	USD	SEK	NZD	EUR
CAB	NOK	CHF	SEK	JPY	EUR	CAD	GBP	AUD	USD	NZD

Source: J.P. Morgan

- The T.E.A.M portfolio is biased by two signals: (i) our relative equity momentum and (ii) our commodity ToT momentum. The recent dispersion in EM equity performance (strong Asia vs. weak LatAm) makes our equity signal the most weighted (22%).
- Commodity ToT momentum is the second most weighted (18%) as oil prices stay elevated (Brent>100).
- On the short side, EUR continues to screen as the worst currency with weak growth signals, carry, commodity ToT momentum and still expensive valuations. CNY and SGD are used as funders in Asia.
- The performance of our key market themes over the past three months has been concentrated in a few currencies, especially NOK.

Systematic: Comparing factor performance YTD in 2026 vs 2025

Average monthly returns of single factors 2026 vs. 2025

Portfolio	Global		G10		EM	
	Ytd 2026	2025	Ytd 2026	2025	Ytd 2026	2025
Real carry	0.9%	0.1%	1.0%	0.4%	1.2%	0.4%
Momentum 12M-1M Spot*	0.7%	-0.3%	0.5%	-0.1%	-	-
Growth momentum (EASI)	0.6%	0.0%	0.8%	0.0%	0.0%	-0.6%
Nominal carry	0.5%	0.7%	1.2%	0.1%	0.3%	1.1%
Commodity ToT	0.4%	-0.4%	0.8%	0.7%	-0.9%	-0.7%
Value (REER CPI)	0.3%	0.0%	0.6%	0.0%	0.0%	-0.1%
FDI&Equity	0.3%	0.3%	-1.0%	-0.3%	0.9%	0.8%
Risk-adj carry	0.1%	0.6%	0.7%	0.0%	0.3%	0.6%
Hedged carry	0.1%	0.6%	-0.7%	0.3%	0.3%	0.7%
Swap rates momentum*	0.1%	-0.3%	-	-	-	-
Composite balances	0.1%	0.3%	-0.1%	0.1%	0.5%	0.5%
Composite growth	-0.1%	-0.5%	1.0%	0.4%	-0.7%	-0.7%
Equity momentum	-0.2%	0.0%	-0.5%	0.2%	0.3%	-0.2%
VRP (differential)	-0.2%	-0.3%	-	-	-	-
Growth momentum (FRI)	-0.4%	-0.3%	-0.4%	0.3%	-0.7%	-0.6%
Fiscal basket	-0.4%	0.4%	1.0%	1.1%	-1.5%	-0.5%
CAB	-0.4%	0.1%	0.8%	1.0%	-0.5%	-0.8%
Carry+Growth+Value	-0.5%	-0.3%	-	-	-0.5%	-0.7%
Defensive IV	-0.6%	-0.7%	-0.7%	-0.7%	-0.6%	-0.9%
Growth with USD overlay	-0.6%	-0.6%	-	-	-	-
Value (REER PPI)	-1.0%	-0.8%	-0.6%	-0.5%	-0.8%	-0.9%

*Strategy on 20 most liquid currencies

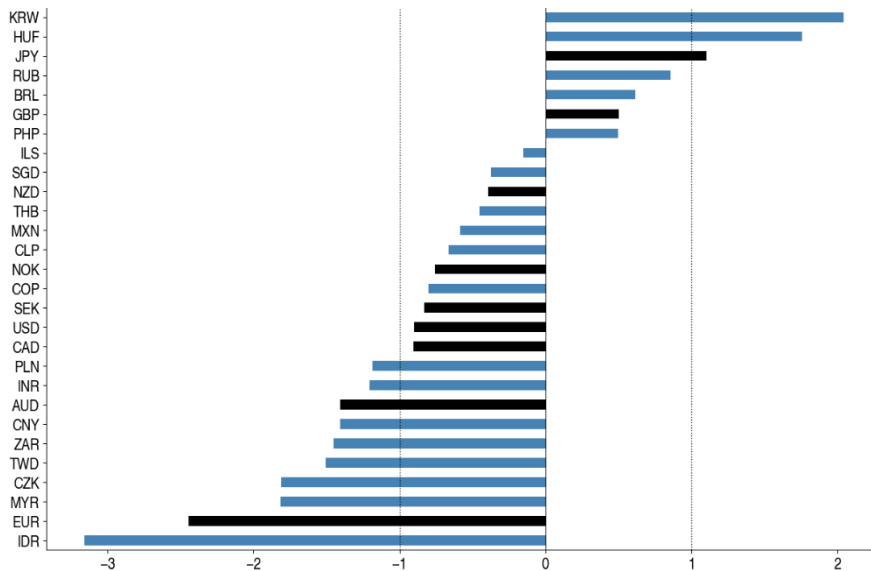
Source: J.P. Morgan

- Real carry has outperformed YTD in 2026 compared to 2025, which is consistent with historical price action around inflationary periods
- Long-term FX price momentum has fared well in the Global portfolio, driven by persistent Asia FX weakness on the short side
- Several signals have been performing well in G10 (carry, fiscal, commodity ToT), though the positions are somewhat concentrated in NOK longs vs JPY shorts

Systematic: Global growth momentum is supportive of modest USD longs

The distribution of global growth momentum is skewed to the downside; JPY now ranks top-3 in the cross section; EUR still ranks close to the very bottom

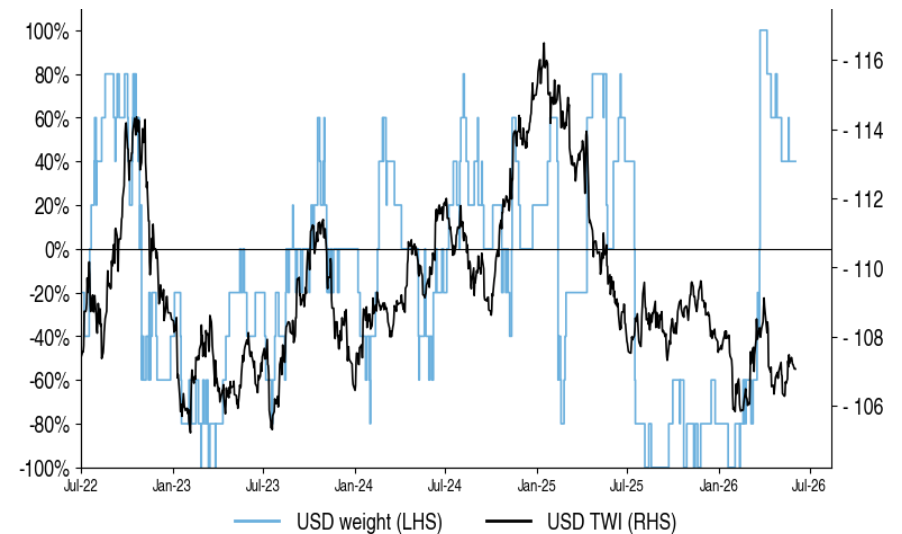
1yr z-score of 3M changes in JPM Forecast Revision Indices
Values exceeding +/- 1-sigma are considered significant up/downgrades



Source: J.P. Morgan

This maps to a +40% USD weight in our economic momentum framework, down from a +100% peak in March

LHS: Net USD weight in our growth momentum framework (based on the balance of growth momentum globally: i.e. downside/upside is USD positive/negative).
RHS: JPM USD trade-weighted index



Source: J.P. Morgan

- The USD weight in our growth strategy has declined towards a more neutral territory at +40% (down from +100% peak in March).
- This strategy allocates a positive (negative) weight to USD if the breadth of global growth momentum screens relatively more negative (positive), in sympathy with the dollar's anti-cyclical properties. We consider levels within the +/- 50% threshold as relatively neutral.
- 11% of currencies are exhibiting significant positive growth momentum (KRW, HUF & JPY) vs 36% negative (IDR, EUR, MYR, CZK, TWD, ZAR, CNY, AUD, INR, PLN).

US POLICY CHANNELS FOR FX

Four primary channels of US policy transmission to FX

Fiscal, trade, foreign policy, and FX policy remain the key policy channels for FX

Policy Channel	Key Levers	USD Risk bias	FX Adjustment Mechanisms	Authority	Midterm-Sensitive?
Fiscal	Reconciliation 2.0, defense spending	↓	Term premium, inflation risk premium, Fed responsiveness	Congress	High
Trade / Tariffs	Tariff Sections 122/232/301, Tariff Revenue, USMCA	↔	Growth (US & RoW), inflation risk, term premium linked to tariff revenues	Executive (but constrained by courts)	Low-Medium
Foreign Policy	Iran / China escalation, NATO cohesion	↑	ToT/energy supply, risk sentiment, global trade, de-dollarization	Executive	Low
FX Policy	Rate checks, manipulator reports, FX accords	↓	Rhetoric (jawboning, currency manipulator report), rate checks, USD swaps, trade deals	Executive (Treasury)	Low

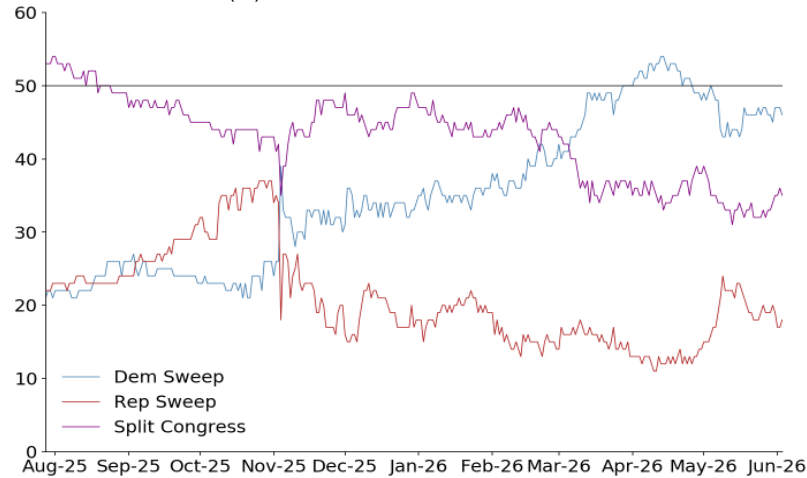
Source: J.P. Morgan

- **We revisit four transmission channels from US policy to FX: fiscal, trade, foreign policy, and FX policy.**
- Fiscal: Dollar-negative if deficit widens; USD's negative beta to term premium has risen as fiscal is assessed through deficit and inflation risk premia; Fed response key.
- Trade: Tariffs have offsetting impacts on USD; targeted bilateral 301 tariffs could prove more USD-positive than universal; lower tariff revenues a downside risk and unwinding tariff uncertainty has weighed on FX vol and supported labor market / sentiment.
- Trade: Bilateral or trilateral USMCA deal favors MXN over CAD; rolling annual reviews would be negative for both.
- Foreign: Longer Iran conflict USD+carry positive given lasting ToT benefit; NATO, Greenland, US-China FX impact path dependent.
- FX Policy: Proactive stance is dollar negative; rate checks, stronger currency manipulator language, and FX accords relevant.

House poised to flip, but redistricting will make flipping a higher bar

Legal rulings around redistricting have raised Republicans' chances of retaining the House, even though Dems are still presumed to flip

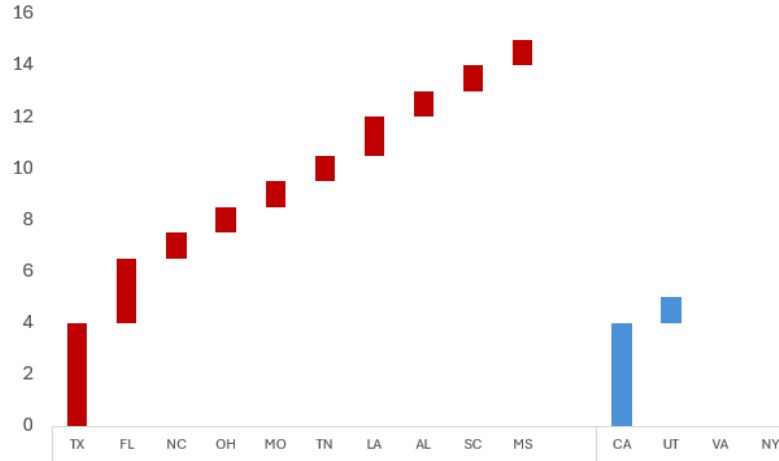
House election scenarios (%)



Source: Polymarket, J.P. Morgan

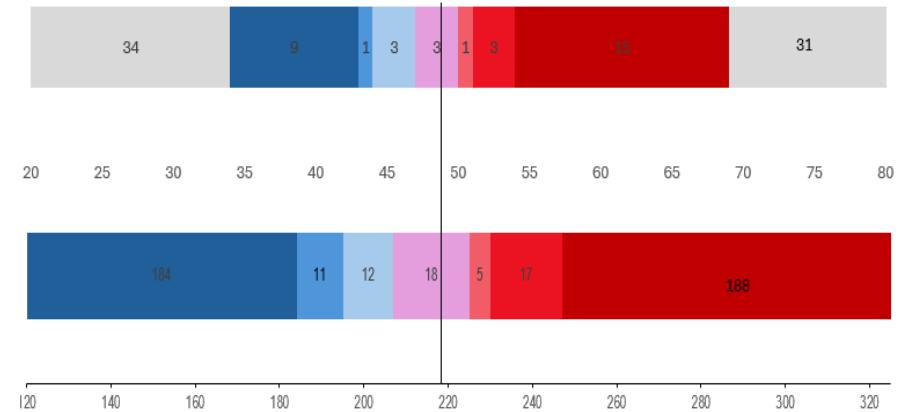
Legal rulings around redistricting have raised Republicans' chances of retaining the House, even though Dems are still presumed to flip

House election scenarios (%)



The Senate map is advantageous for Republicans this cycle

Senate (top) and House (bottom) race competitiveness



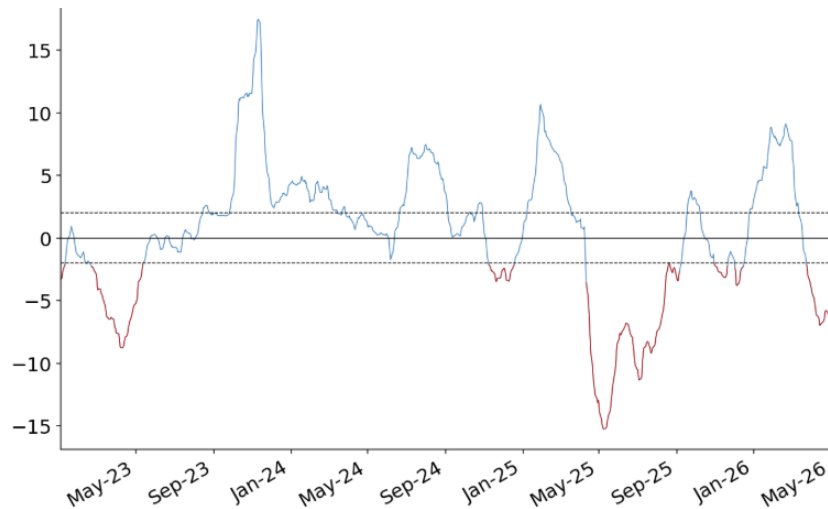
Source: Cook Political Report, J.P. Morgan

- Democrats are still seen as likely to flip the House, but that would likely lead to policy gridlock rather than big policy change.
- Recent legal and redistricting changes mean the House outcome is less certain than before.
- Republicans now have a more realistic chance of holding the House, even if Democrats remain the base case.

Fiscal: Easier fiscal risks weaker USD via higher term premium, but depends on Fed

USD's (negative) sensitivity to term premium has risen over the last year

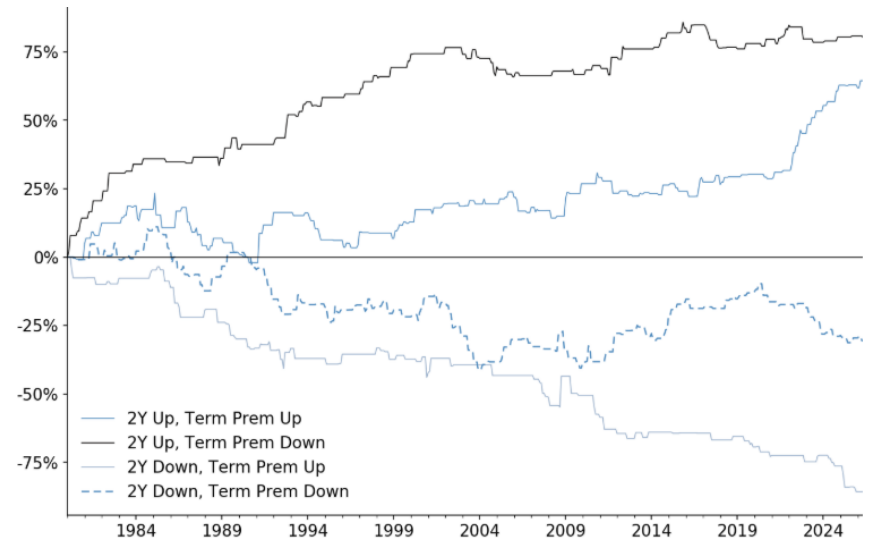
Proxy of USD sensitivity to term premium. Rolling 1Y t-stat of USD to long-end ylds (5s30s), controlling for short-end rate differentials. ± 2 indicates statistically significant.



Source: J.P. Morgan

Fed stance matters. USD tends to weaken when term premium is up but the short end is moving lower

Cumulative returns of USD TWI in various term premium scenarios (monthly)



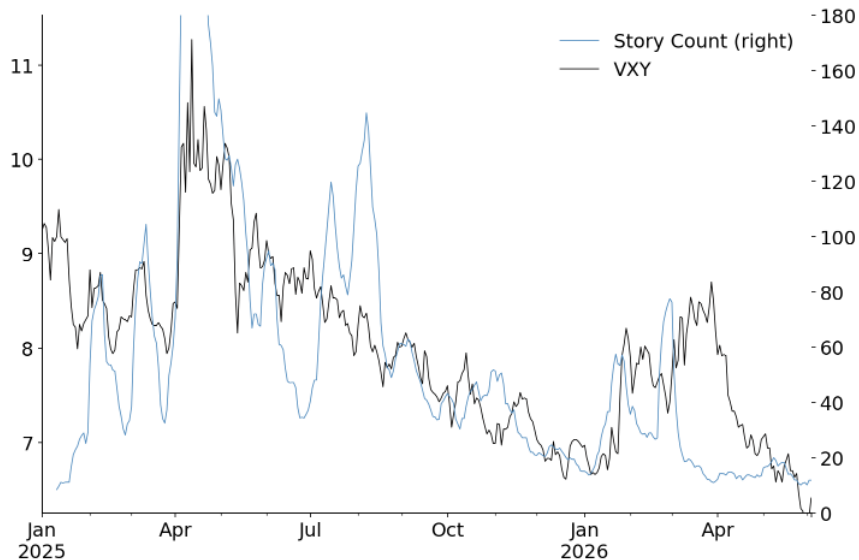
Source: J.P. Morgan

- Fiscal is likely dollar-negative if deficits are widening.
- The dollar's responsiveness to fiscal developments is primarily driven by repricing in term premium and inflation risk premia.
- The sensitivity of USD to term premia depends on the strength of the Fed's response.
- Any additional reconciliation packages are likely dollar negative, particularly if front-loaded and with deferred pay-fors.
- Any additional fiscal slippage risks reinvigorating fiscal r.v. in G10.

Trade Policy: Offsetting tariff risks to USD; USMCA more favorable for MXN than CAD

Broader FX vol has normalized as tariff uncertainty continues to fade

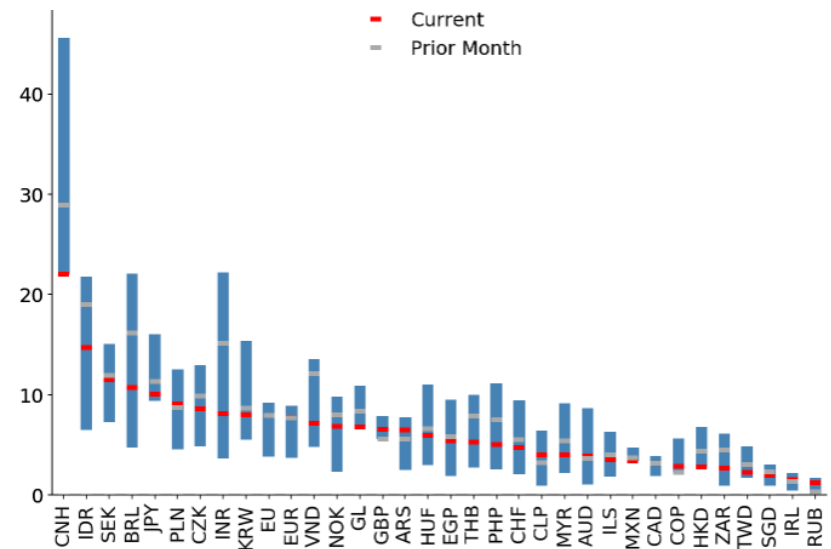
LHS: G7 VXY 3m implied FX vol; RHS: Tariff news story count (1wk rolling sum, 000s)



Source: J.P. Morgan

Tariff revenues are about 32% lower than peak flows

Monthly tariff revenue (\$mns) + pos-Liberation Day range



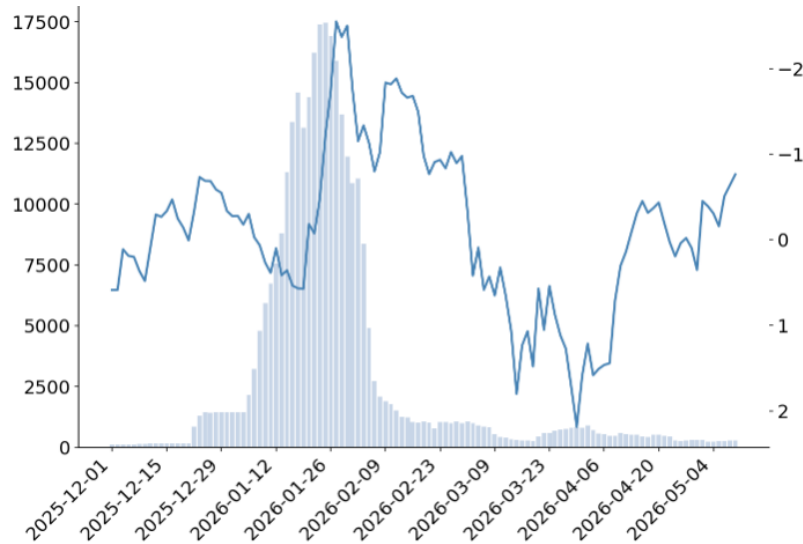
Source: J.P. Morgan

- New tariffs unlikely to be as dollar negative as 2025
- The fading Liberation Day risk premium is still subtly impacting global macro and the dollar
- But bilateral tariff spats risk being FX-negative
- Tariff revenue volatility remains a wildcard for USD
- USMCA remains important for USD stability, with more scenarios positive for MXN than CAD

Risks towards stronger USD from foreign policy; lower from FX policy

A USD discount emerged as Greenland tensions heated up and de-dollarization narratives resurfaced

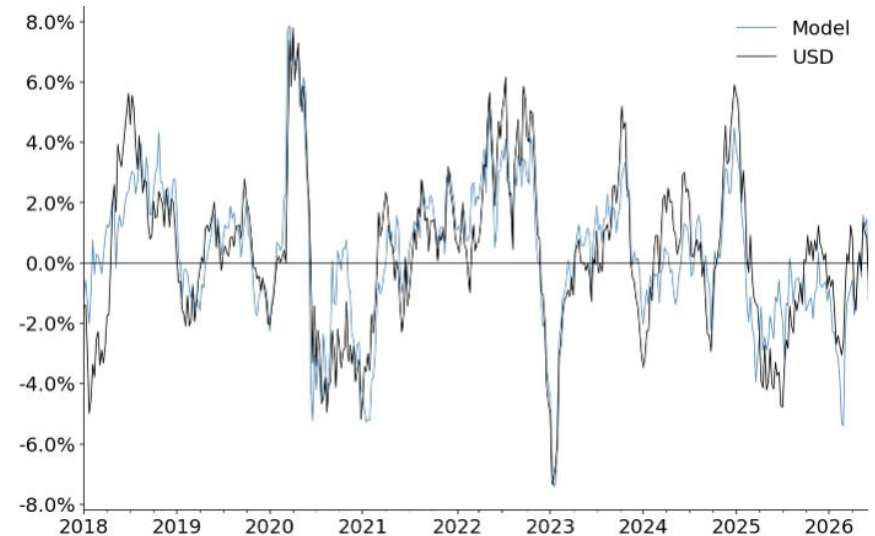
LHS: Story count of 'Greenland' (10d rolling). RHS: USD model residual vs wtd 2Y nominal swap spreads (inverted; negative value = USD cheap)



Source: J.P. Morgan

Relative US equity outperformance often coincides with USD strength

USD TWI = $0.004 + 0.176 \cdot (\text{US-RoW eqs}) - 0.233 \cdot (\text{RoW eqs})$. 3m % chgs.



Source: J.P. Morgan

- Ongoing conflict in Iran supports USD and FX carry
- US-China summit offers no grand bargain; uneasy truce to persist
- EUR-specific risks remain elevated, with regional risks juxtaposed against potential bullish de-dollarization flows
- FX policy is more active than under past administrations and is likely to remain so

G10 FX

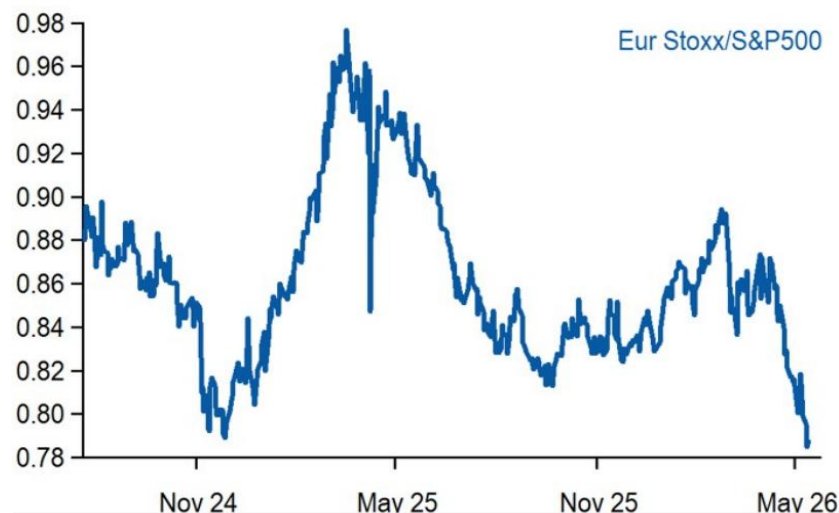
EUR: Increasing bearish exposure and initiate EUR/USD shorts via options; EUR/USD downgraded for the first time in a year to 1.13-1.15 range in 2H

The terms of trade had already deteriorated for the EU vs. the US; real yield differentials have narrowed as well, reversing their entire move following the German fiscal announcement...



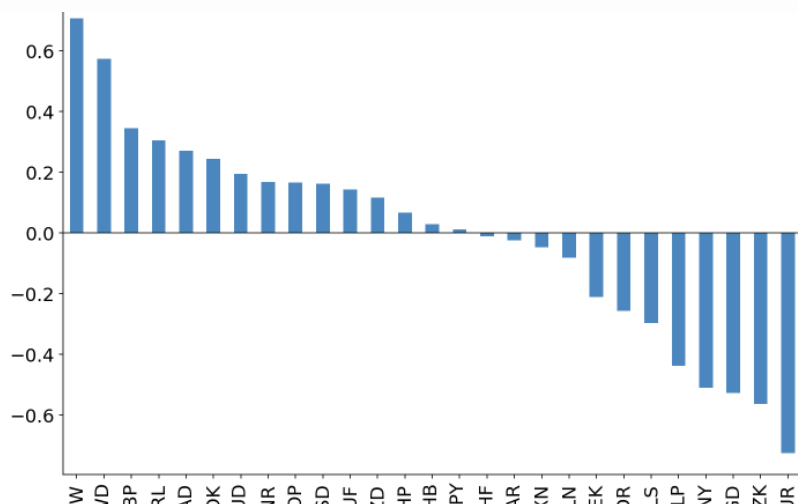
Source: J.P. Morgan, JPMaQS

...with relative equity returns collapsing as well



Source: J.P. Morgan

EUR TEAM score in our fast TEAM model has reached the lowest point since April 2025

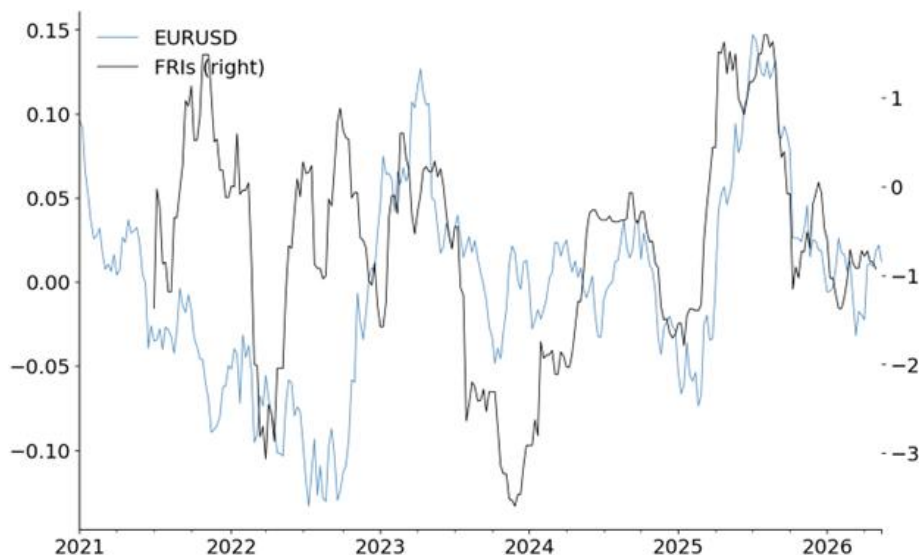


- We downgraded EUR/USD medium-term targets to 3Q'26 1.15, 1Q'27 1.13. Near-term target at 1.17 unchanged as any resolution between the US and Iran should result in EUR/USD strength, but we expect this to be short-lived.
- Re-initiate short EUR/USD via a put spread structure to express downside while limiting risk if a US–Iran resolution lifts EUR/USD (+2%); key tail risk is prolonged Strait of Hormuz disruption and potential US oil export controls hurting Eurozone energy importers.
- EUR ranks worst on our suite of cross-sectional systematic signals.

EUR/USD: Relative growth and equity flows continue to turn USD supportive again

EUR/USD has generally followed relative momentum of late, which favors USD...

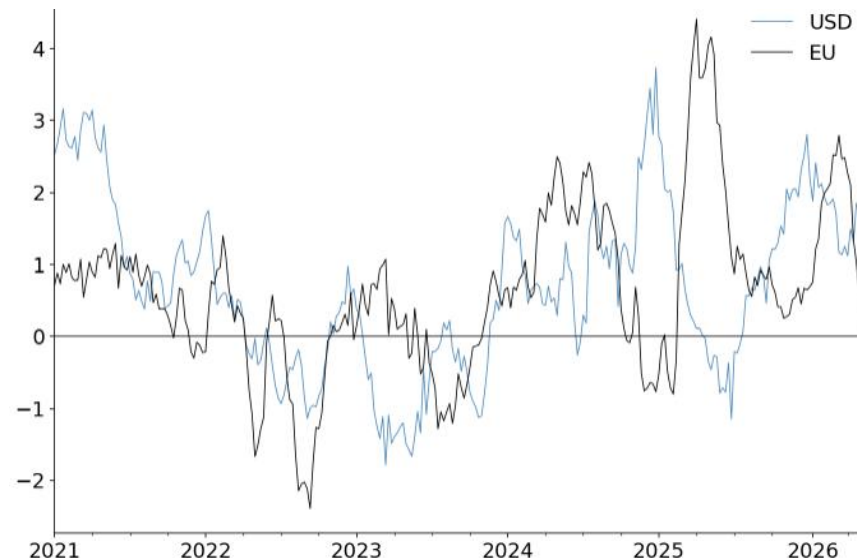
LHS: EUR/USD; RHS: EU-US GDP FRIs. 6m changes



Source: J.P. Morgan

...and equity flow

Proxy for EU-US portfolio flow. 3m rolling ETF equity inflows (z-score)



Source: J.P. Morgan

- EUR/USD has generally followed relative momentum of late, which favors USD.
- US equity outperformance has delivered a nascent boost to USD, with portfolio flows directionally diverging to once again favor USD demand.
- Weakness in EUR is now looking entrenched – not just tactical.

GBP: Neutral. Politics overshadows carry, growth, but looking for constrained GBP weakness given multi-month leadership contest timeline

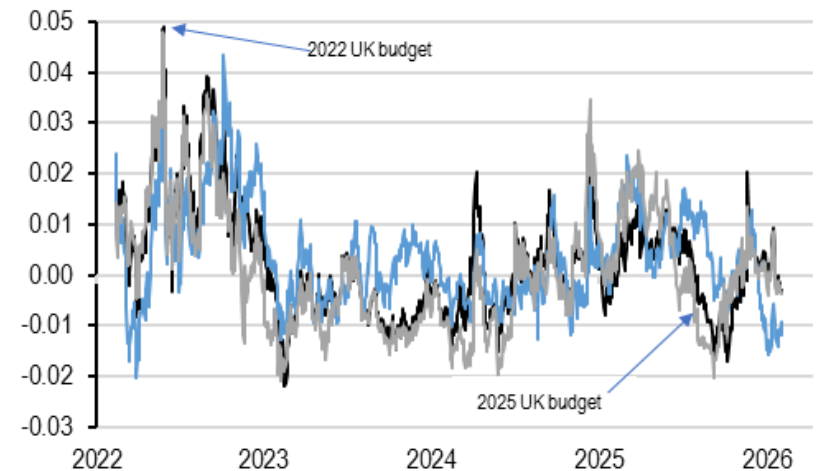
Macro scenarios including political outcomes range from >0.89 to 0.85

		UK politics	
		Fiscal expansion	Political continuity
US Iran	Conflict Escalation	- Local elections go badly for Labour and leadership contest scheduled. - Major US Iran conflict escalation (brent oil above \$130) sees GBP weaken on demand destruction. - EUR/GBP to 0.89 if guidance towards changing UK fiscal rules. - EUR/GBP to 0.8950 or higher if clear disregard for bond market impact on fiscal credibility.	- Political continuity from the Labour party would be a relief for GBP. - EUR/GBP initially rallies to 0.88 on political uncertainty/conflict escalation (if brent above \$130)/demand destruction and then down to 0.86 as political uncertainty reduces and GBP carry dominates.
	De-escalation	Full normalisation in Strait of Hormuz, energy prices and yields. EUR/GBP rallies to 0.8750 and then to 0.8880 if guidance towards changing fiscal rules and 0.8930 if clear disregard for bond markets.	Full normalisation in Strait of Hormuz, energy prices and yields. EUR/GBP rallies to 0.8750 on initial full de-escalation and then down to 0.8550 as political continuity from the Labour party would be a relief for GBP.
	Partial Normalisation	- US Iran conflict ongoing and partial normalisation in Strait of Hormuz but Labour leadership contest is held. - After falling to 0.8580 on partial normalisation (carry dominates), EUR/GBP rallies to 0.8830 if guidance towards changing fiscal rules and 0.8880 if disregard for bond markets.	US Iran conflict ongoing and partial normalisation in Strait of Hormuz means UK political continuity needed and carry helps EUR/GBP fall to 0.85.

Source: J.P. Morgan

Markets are not currently priced to adverse fiscal outcomes

— EUR/GBP 1y rolling residual vs 2y rate spread and 2s30s UK gilt curve (RHS)
 — EUR/GBP 1y rolling residual vs 2y rate spread and S&P 500
 — EUR/GBP 1y rolling residual vs 2y rate spread and oil



Source: J.P. Morgan

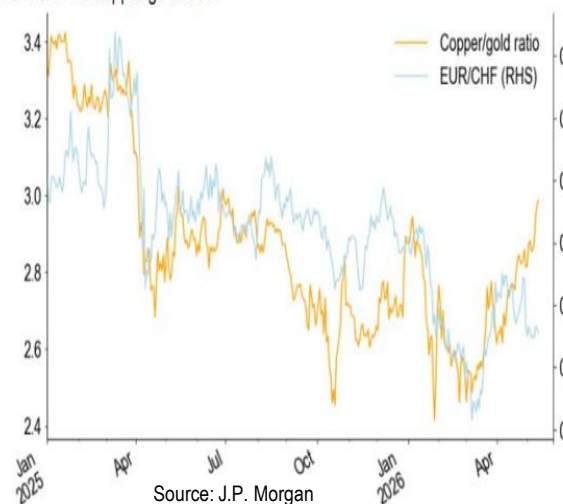
- Politics will dominate GBP price action, skewing risk bearishly in the near-term, but look for this weakness to be contained with limited runway
- The balance between UK political risk vs growth/ carry prospects will be key for sterling
- The key transmission mechanisms are (1) the term premium channel as Labour shifts to the left and (2) business confidence impact from increased and prolonged political uncertainty

CHF: Bearish; Short vs NOK but EUR/CHF flat at 0.91 due to low carry vs franc-supportive forces still in play (reserve alternative demand, fiscal differentiation, BOP, repatriation, PPP)

EUR/CHF has tended to co-move with the copper/gold ratio, and this suggests the pair should be higher... but European growth has been continuously revised down since the start of the conflict, which is a drag for EUR/CHF

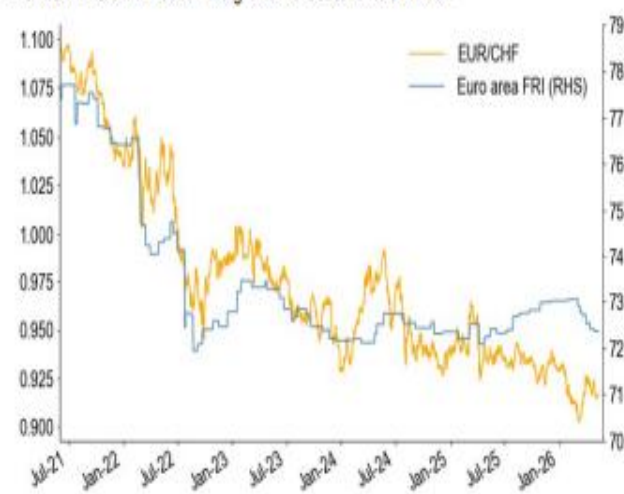
Our FX intervention proxies suggest SNB sold CHF in March but not since; they are thus reactive rather than proactive and not offsetting positive BoP flow over time

EUR/CHF vs copper/gold ratio

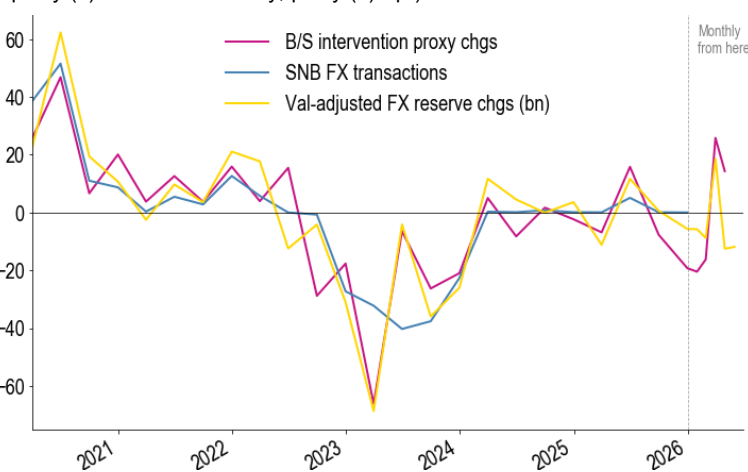


Source: J.P. Morgan

EUR/CHF vs JPM Economics growth forecast revision index



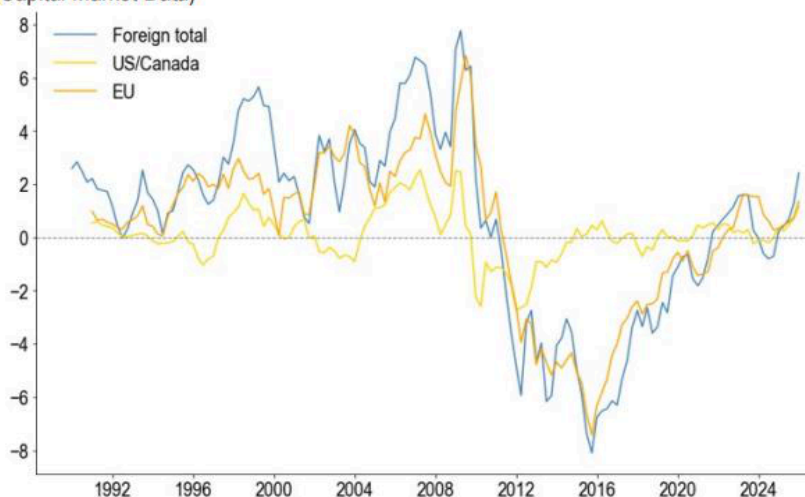
Official quarterly SNB FX transactions (up to 4Q'25) and our monthly intervention proxies as quarterly sums (up to 4Q'25; then monthly for 2026 with proxy (1) latest value in May; proxy (2) Apr)



Source: J.P. Morgan

New trend to track: net CHF bond issuance by non-resident borrowers has turned meaningfully positive for first time post-GFC

Net CHF bond issuance by non-resident borrowers on Swiss capital markets (issuance less redemptions; CHF bn, quarterly, rolling 4Q average to 1Q'25; SNB Capital Market Data)



- Cross-currents: Expect carry-trades to do well but structural supports (alt reserve demand, fiscal risks, repatriation focus, BoP dynamics, PPP) cap EUR/CHF upside
- Relative to cyclical proxies and reserve asset dynamics (copper/gold ratio), CHF looks rich...
- ...but weaker Euro area growth is EUR/CHF-bearish
- Intervention proxies suggest SNB sold CHF in March but not April. SNB is reactive; intervening to smooth sharp moves but otherwise allowing CHF grind stronger
- New drag: return of cross-border CHF debt issuance

SEK: Bearish; low carry, domestic and equity headwinds; raise EUR/SEK forecast profile 2Q, 4Q 10.80 (10.50) and use as carry funder (long NOK/SEK)

Swedish core inflation missed expectations for the 6th time in a row, and is well-below where Riksbank and our economists were expecting it to be even back in late March

Core CPIF (ex-energy); historical vs Riksbank and JPM Economics forecasts from week of Riksbank march meeting



Source: Riksbank, J.P. Morgan

Relative equity returns have mattered for SEK and have moved against it

EUR/SEK 3m % chg vs SPX-OMX relative 3m % returns

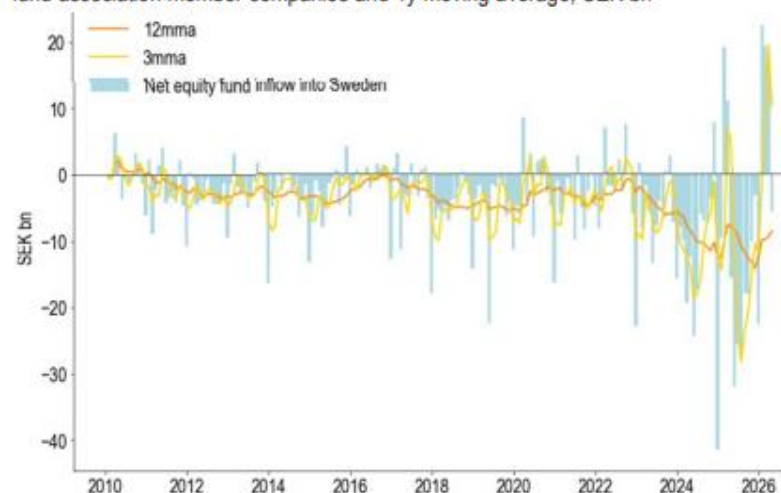


Source: Bloomberg L.P., J.P. Morgan

- Equity momentum convincingly against SEK; global yields, energy prices to continue weighing on low-yielding importers
- Inflation, growth frequently missing expectations this year
- Former supports - regional/domestic growth, fiscal dynamics, pro-cyclical global backdrop, equity rotation into Sweden – now less than early 2026
 - Eg: Swedes net sold US equities in size and bought domestic from '25 to early '26. Now reverting to global equity buying
- SE inflation momentum lowest among G10, anchoring carry-funder dynamics

... contributing to an interruption in 1Q's retail equity repatriation

Net approximate monthly equity fund inflow into Sweden from Swedish investment fund association member companies and 1y moving average; SEK bn



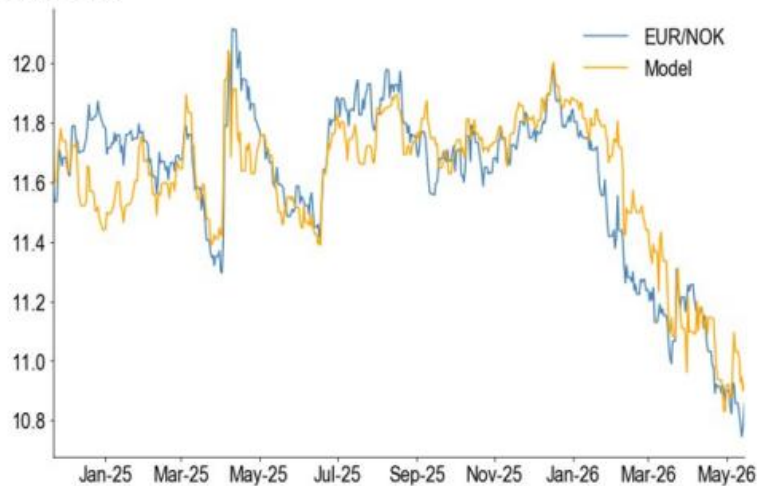
Source: Swedish investment fund association, J.P. Morgan

J.P. Morgan

NOK: Long vs SEK, CHF, JPY & upgraded on hawkish CB, terms of trade, carry environment. EUR/NOK profile lowered to 4Q 10.50 (10.85)

Most of the move down in EUR/NOK has been in line with fair value

EUR/NOK vs in-sample fair value estimate based on 2y rate differential, Brent front contract, VIX

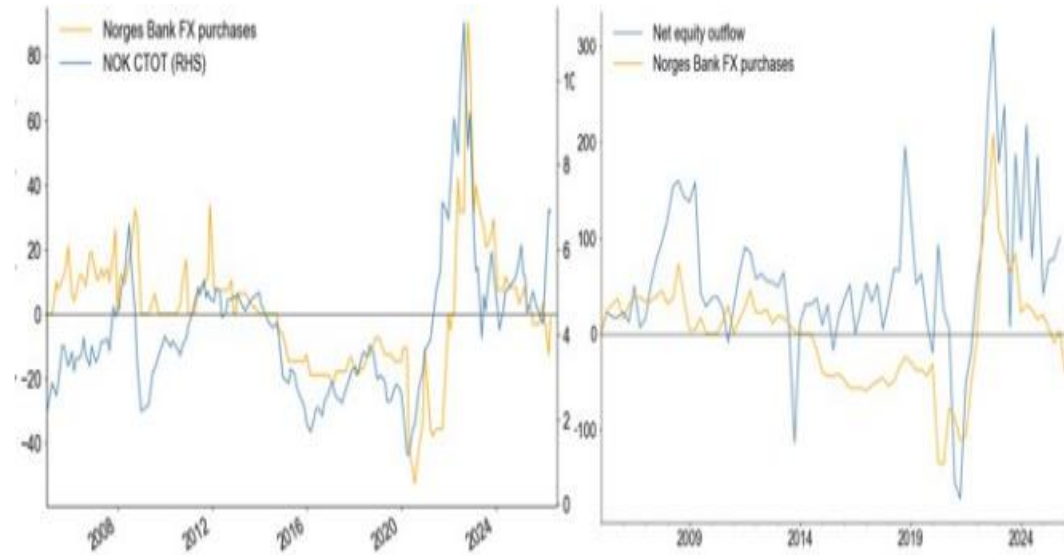


Source: J.P. Morgan, Bloomberg L.P.

NOK/SEK trades rich to 0.99 fair value but has shown less sensitivity to the energy price drawdown, suggesting carry flows may be more influential



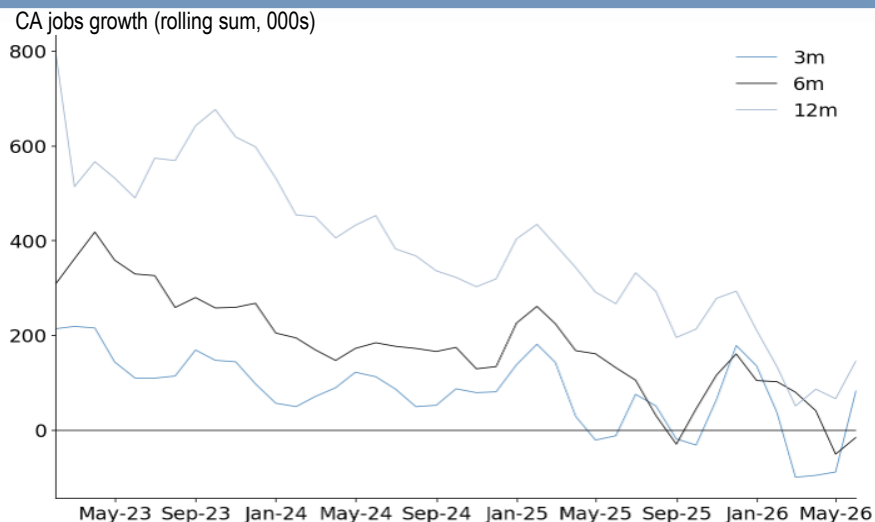
Norges Bank FX purchases are likely to pick up, though not to 2022 levels given lower gas prices. Equity outflows are continuing beyond that too though



- Beneficiary of carry and ToT; latest hike reinforces NOK's position as a G10 high-yielder
- Domestic wages and inflation still warrant elevated policy rates and front-loaded policy action
- Carry is at historical highs vs EUR & SEK, and is above USD
- The collapse in EUR/NOK has largely tracked FV, which is around 11.00. 10.50 would require \$100 Brent and +50bps in rate spreads
- But still has BoP constraints. Equity outflow pace has slowed but net outflows continue. Norges Bank FX purchases likely to pick up as oil revs rise, though not to '22 levels given lower gas prices

CAD: Short vs USD & MXN. Optimism around a turn in the CA cycle looks premature;
BoC market pricing aggressive. USD/CAD 2Q 1.37, 4Q 1.39.

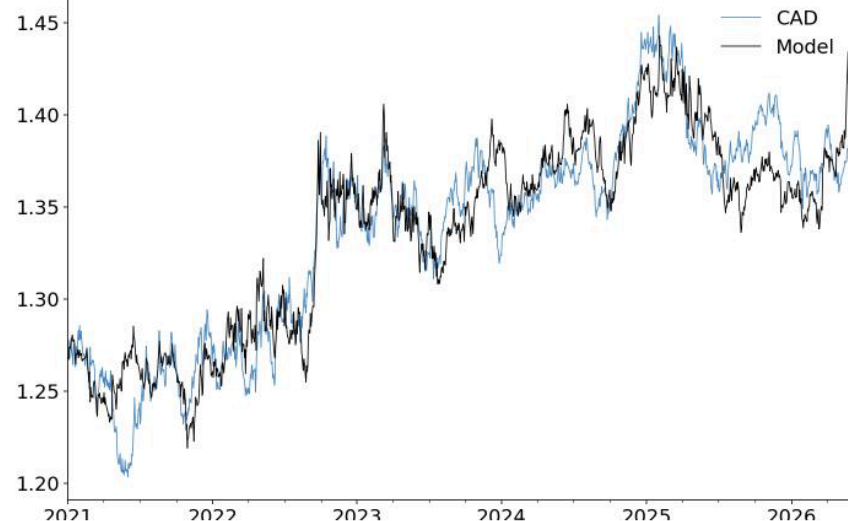
The 6mma of monthly changes in CA employment growth Is still negative even after the May data



Source: J.P. Morgan

CAD looks cheap given more divergence in US-CA cyclicals

USD/CAD vs US-CA 5Y real rates



We now see increased odds of annual USMCA reviews,
warranting a higher probability-weighted CAD discount
than before

Scenario analysis around USMCA renegotiations

Scenario	Description	Key Risks for CAD	Likelihood	CAD FX
Renewal - Minor Changes	Agreement extended to 2042 with potential updates.	Growth-positive; reduces cyclical uncertainty & boosts investment. CAD deprives USMCA-related risk premium	Low	3%
Renewal - Major Changes	MX, CA make concessions to reduce tariffs, extend USMCA.	Fractious negotiations that creates modest CAD risk premium, but eventual USMCA renewal ultimately cyclically supportive	Highest	1%
Annual Reviews	No deal is reached in 2026; yearly reviews begin.	Limited progress and no deal keep residual risk premium alongside growth-negative investment, hiring, export uncertainty	Moderate-High	-2%
Bilateral Agreements	No consensus to extend, members pivot to bilateral agreements.	More fragmented trade environment, elevated uncertainty remains high. Hurts potential, competitiveness. Favors US over CA	Moderate	-4%
Early Withdrawal	One country exits via withdrawal clause (Art. 34.6).	Trade and supply chain shocks; growth hit, BoC cuts and risk premium in CAD	Lowest	-6%
Probability-Weighted CAD Discount:			-1% to -1.5%	

See original table [here](#)

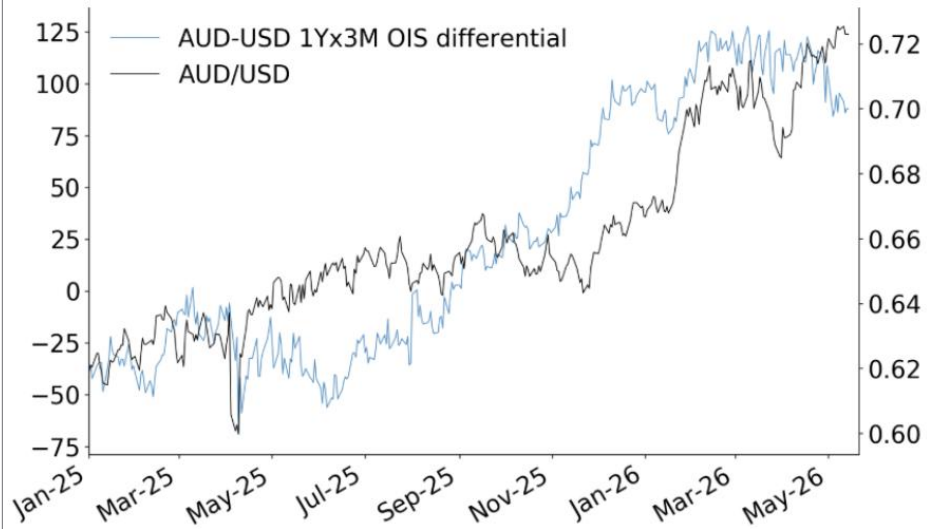
Source: J.P. Morgan

- CAD remains under pressure from ongoing structural decoupling with the US, resulting in cyclical frictions like soft labor market outturns
- USMCA uncertainty likely keeps investment and hiring intentions muted...
- ...keeping BoC cautious and making the priced hike this year look to aggressive
- With low carry and a soft cyclical backdrop, CAD can remain a funder
- USD/CAD is cheap vs real-rates fair value

AUD: Support fading; AUD/USD to 0.71 by 3Q26.

Cross-market rate spreads have narrowed and are now a headwind for the exchange rate

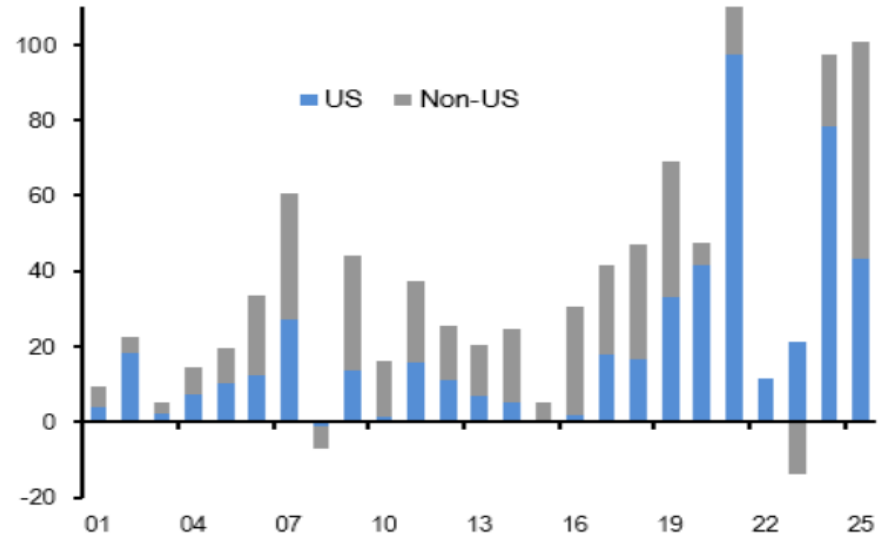
lhs: bps; rhs: AUD/USD



Source: Bloomberg Finance L.P., J.P. Morgan.

Australian investment into non-US equity markets exceeded those into the US for the first time since 2019

A\$ billion, net transactions



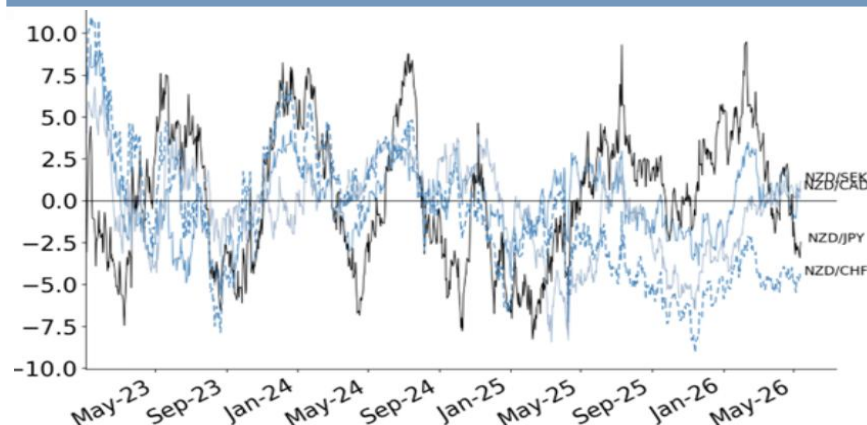
Source: ABS, J.P. Morgan.

- AUD/USD near multi-year highs on RBA hiking-cycle support and strong commodities (iron ore/coal/LNG). These factors are expected to fade in 2H26, but carry and pension fund hedging behaviour should keep a higher floor.
- Maintain forecast for AUD/USD to drift modestly higher into mid-year (June-26: 0.73) before a reversal in 2H. Our Mar-27 target is 0.69.
- Widening rate spreads have been a key FX support since late-last year, but that dynamic has now run its course with forward spreads tightening. RBA tone has shifted to more neutral/data-dependent, which historically signals stability; the Hawk Dove Score should shift lower from a 2026 G10 outlier.
- Australian investors rotated toward non-US equities (Japan/UK/Europe) in 2025, consistent with de-dollarization rather than routine rebalancing. Australia's superannuation funds with rapid FUM growth require managers to invest offshore to meet diversification and liquidity requirements. That structural shift increases FX exposure and should drive a gradual rise in hedging ratios from low levels.

NZD: Recovery continuing; NZD/USD to 0.62 by 3Q26

NZD has performed only against low-yielding G10 and remains somewhat cheap to global macro factors

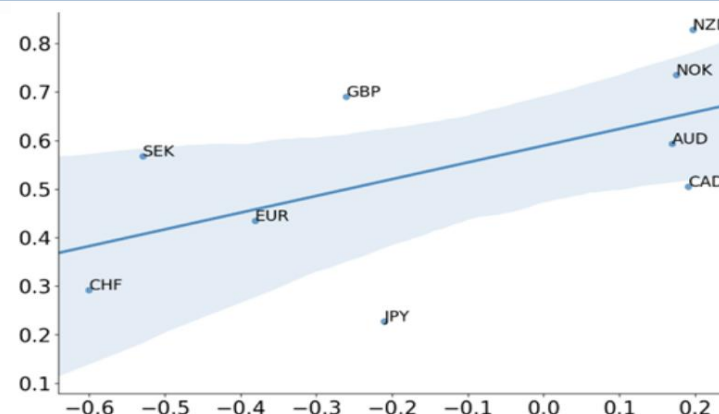
Residuals of NZD crosses (%)



Note: From fits of NZD/CCY on a constant, JPM commodity index, US GDP FRI, USD 1Yx3M OIS and 3m lags.
Source: Bloomberg Finance L.P., J.P. Morgan

NZD is usually highest beta to both global growth and the common factor in the level of G10 inflation

X axis: G10 FX/USD beta to PC1 of JPM's G10 inflation fcst; Y axis: Beta to JPM's global GDP forecast



Note: Individual regressions of FX/USD on a constant, global GDP FHI (forecast), PC1 and PC2 of country CPI FHI (forecasts), and variance of inflation forecast revisions (last 3m, across currencies). Daily data since 2014.

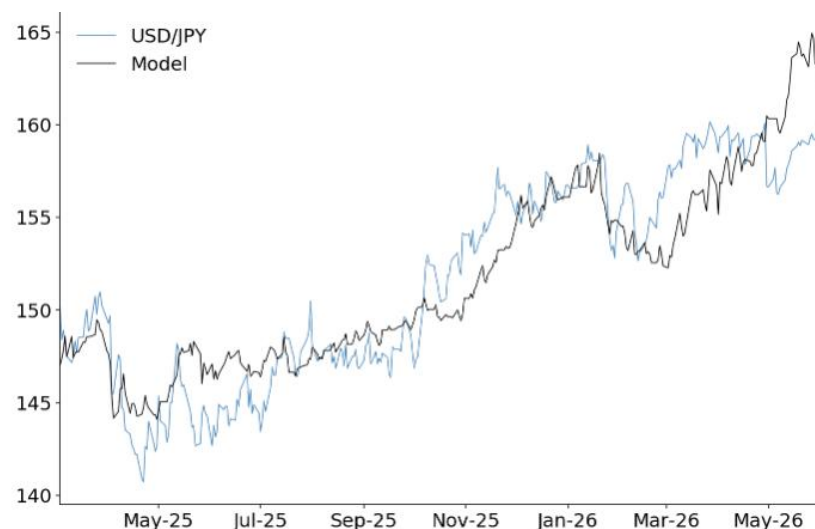
Source: Bloomberg Finance L.P., J.P. Morgan

- NZD/USD near 12-month highs, just below pre-Iran conflict levels. We expect further upside as NZ activity/housing recover and the RBNZ begins a full hiking cycle in 3Q26. We maintain a Sep-26 target for NZD/USD of 0.62, and Mar-27 target of 0.61. Global supply shocks remain the central risk factor that could derail further recovery, given NZ's fuel import-dependence.
- In the recent USD selloff, NZD has only outperformed vs low-yield G10 (JPY, SEK, CAD, CHF) and still screens somewhat cheap vs this basket on top-down factors—highlighting the market's carry focus and doubts on NZ's recovery/rate-spread improvement.
- Over multiple cycles, NZD has tended to outperform when global growth is firm and the common factor in country inflation forecasts is elevated. NZD is unusually low-yielding, so delivery of policy normalization matters more. If Iran de-escalates / oil falls, NZ's normalization case remains, while those who have priced hikes due to inflation should see rate pricing fade in relative terms.

JPY: MoF Intervention does not change our mid-term yen-bearish view; USD/JPY 4Q 164

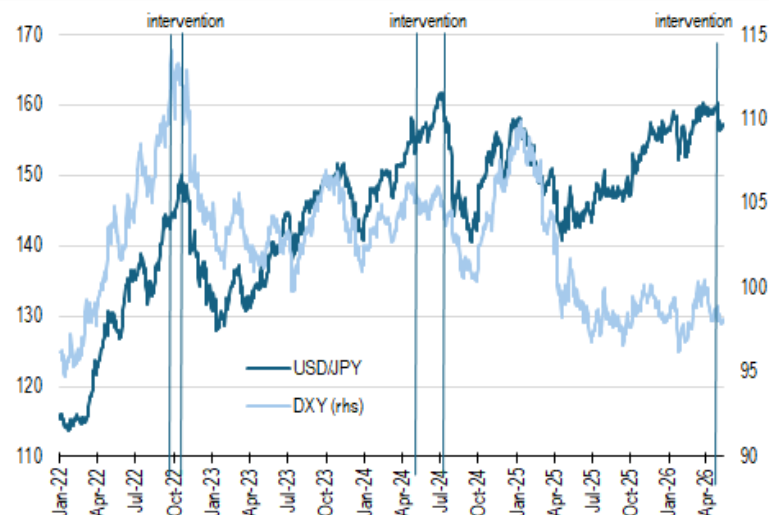
BoJ behind the curve remains a persistent USD/JPY support

USD/JPY vs Japan 2Y1Y-1Y1Y curve shape



Source: J.P. Morgan

USD/JPY and DXY; USD/JPY decline following MoF intervention was mainly driven by broad USD weakness, not by interventions

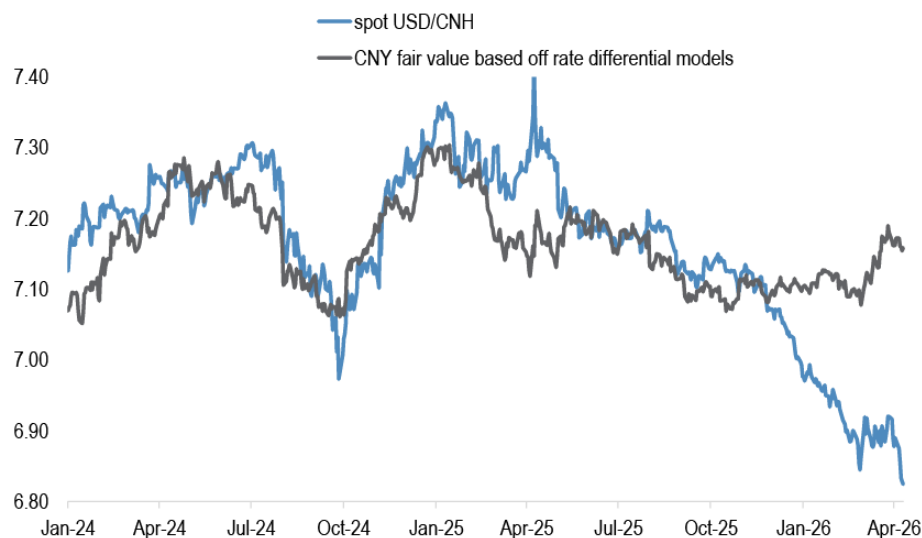


Source: J.P.Morgan, Bloomberg Finance L.P.

- Our medium- to long-term USD/JPY target already assumed intervention prior to the JPY 162 cycle high; Intervention concerns may cap USD/JPY for a while, but we expect it to eventually break out of its range and move higher; our targets remain 158 in 2Q26, 160 in 3Q26, and 164 in 4Q26.
- USD/JPY has trended higher as Japan's money market curve has steepened, ostensibly reflecting behind-the-curve dynamics
- The global monetary policy cycle remains unfavorable for JPY, and the Takaichi administration's policy mix heightens risks of elevated inflation and further depreciation. Elevated oil prices reinforce our medium- to long-term bearish outlook.
- In the 2022 and 2024 episodes, the authorities did not try to defend any specific level. This can be seen as consistent with G7 FX commitments, but more fundamentally it simply underscores that, for a currency like the yen—freely traded under a floating regime and with a large market—intervention has difficulty stopping or reversing an underlying trend driven by fundamentals.

CNY: Stay bullish CNY FX post Trump-Xi summit; USD/CNY 2Q 6.80, 4Q 6.70

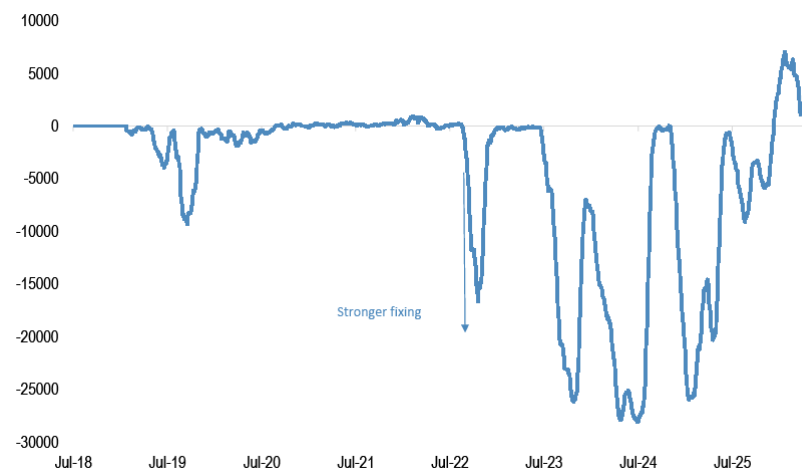
Misalignment in USD/CNH vs. rate fundamentals



Source for both: Bloomberg Finance L.P., J.P. Morgan

CNY fixing bias

Strengthening bias measured as the difference between actual fixings and J.P. Morgan model estimates derived from overnight basket currency performance only.



Source: Bloomberg Finance L.P., J.P. Morgan.

- Historically, following previous summits between President Trump and Xi, both the CNY fix and USD/CNH have tended to trend lower over the subsequent months.
- PBoC resistance to CNY strength appears to have moderated, reinforcing our conviction to remain positioned for further downside in USD/CNH. We hold 3m 6.75 USD/CNH put as carry remains punitive for outright USD shorts.

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